

ENGLISH FOR INSURANCE PROFESSIONALS

Insurance English

Explain the wording. Establish the facts. Keep the decision clear.

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Eight lessons. Eleven extended conversations.

INSIDE THE BOOK

192 vocabulary entries / 128 reusable phrases
220 extended-dialogue turns / 11 transfer exchanges
Word banks and explained answer keys

Upper-intermediate to advanced (B2-C1). For underwriting, claims, brokerage, actuarial, and customer-service teams.

2026 edition

Eight scenarios. Eight skills.

Eight insurance exchanges: complete an underwriting submission, explain policy documents, request claim information, communicate a pending coverage review, compare renewal terms, record investigation concerns, interpret claim-cost changes, and answer a fee complaint.

01 Underwriting and Risk Selection

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An incomplete submission cannot establish the risk | Request material missing information while preserving the difference between review, quotation, and binding.

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Distinguish information, interpretation, and authority

Insurance conversations depend on precise status words. A quote is not necessarily bound cover, a reserve is not a settlement promise, and a reported concern is not an established finding. These cases practice keeping those distinctions understandable.

Ask for the missing fact

Identify the exact information needed and its purpose. Do not convert an empty field into a favorable answer, and do not ask a client to guess dates or amounts merely to complete the form.

"The loss-history field is blank; that does not establish that there were no losses."

Read documents together

Summaries and declarations help locate information, but the applicable wording, endorsements, conditions, and exclusions matter. Avoid treating a convenient heading as a complete coverage decision.

"The summary is not the complete policy; we need the applicable endorsement too."

Separate estimates from commitments

A reserve, quote, review appointment, and payment decision have different meanings. Name the status and the person or process with authority to change it.

"The review is pending; no coverage decision or payment commitment has been made."

Compare like with like

Premium changes do not describe every change in protection. Claim counts need exposure context, and average claim costs need a consistent basis. State the assumptions before presenting the comparison.

"The premium is lower, but the deductible is higher; the terms are not identical."

PROFESSIONAL BOUNDARIES

All insurers, policies, claims, people, figures, and local procedures are fictional. This is professional-English practice, not insurance, actuarial, legal, financial, or claims-handling advice. Actual wording, authority, notice requirements, privacy obligations, and complaint rights depend on the policy and applicable jurisdiction. No example binds coverage, determines a real claim, or prescribes an investigation.

An incomplete submission cannot establish the risk

A Read the situation

Request material missing information while preserving the difference between review, quotation, and binding.

Broker Lena submits an application for Atlas Services, describing its activity only as maintenance. The application omits operating locations and the requested three-year loss history. Underwriter Theo does not know whether the work is performed at a workshop, at customer premises, or both. No quote, binder, or coverage confirmation has been issued. Lena will obtain the activity breakdown, location details, and loss records, and give Theo a status update Monday at 11:00. Atlas wants cover urgently, but neither the requested start date nor a complete submission automatically establishes acceptance or coverage.

PEOPLE / Lena: Insurance broker | Theo: Underwriter

BE SPECIFIC WITHOUT SOUNDING OBSTRUCTIVE

A broker under time pressure may hear more information required as a refusal. Identify the missing fields and why they matter to the review. Offer a concrete next contact while avoiding a promise that complete paperwork will produce a particular underwriting outcome.

Briefing checks

Circle one answer in each item. Use the briefing.

1. Which information is missing?

- | | |
|-----------------------------------|--|
| A An already issued binder | B Operating locations and the requested three-year loss history |
| C The applicant's name | D Every description of any activity |

2. What does the blank loss-history field establish?

- | | |
|--------------------------------------|--|
| A The information is missing. | B No losses occurred. |
| C Three claims were paid. | D Coverage has already been declined. |

3. What is committed for Monday at 11:00?

- | | |
|--|-------------------------------------|
| A A completed claim settlement | B A submission-status update |
| C Guaranteed coverage inception | D An accepted quote |

Answers and explanations: [page 85](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

underwriting

Assessment and selection of risk under an insurer's applicable process.

IN USE complete underwriting review

submission

Information supplied for an insurance assessment or quotation.

IN USE prepare an underwriting submission

applicant

The person or organization requesting insurance.

IN USE identify the applicant

business activity

The operations performed by the applicant.

IN USE describe the business activity

risk appetite

The types and characteristics of risk an insurer is prepared to consider.

IN USE assess fit with risk appetite

exposure

A condition or measure associated with the possibility of insured loss.

IN USE identify the exposure

operating location

A place where the business carries out its activities.

IN USE list operating locations

premises

Buildings or land occupied or used for an activity.

IN USE describe the premises

off-site work

Work performed away from the business's own location.

IN USE disclose off-site work

loss history

A record of prior losses or claims over a stated period.

IN USE obtain the loss history

loss run

A report listing claims and related information for a defined account and period.

IN USE request a loss run

valuation date

The date at which reported amounts or claim statuses are evaluated.

IN USE state the valuation date

Precision check

A complete submission is not the same as an acceptable risk, a quote, or bound insurance. Preserve the stage of the process. The urgency of a requested inception date does not itself create coverage.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

risk selection

Deciding which risks to accept under the relevant criteria.

IN USE support risk selection

referral

Escalation to a person or level with the required authority.

IN USE make an underwriting referral

underwriting authority

The defined power to make specified underwriting decisions.

IN USE confirm underwriting authority

quote

Proposed insurance terms subject to their stated conditions and status.

IN USE issue a quote

binder

A document or agreement providing temporary insurance as applicable to its terms.

IN USE confirm the binder terms

inception date

The date on which insurance begins under the applicable agreement.

IN USE verify the inception date

subjectivity

A stated requirement attached to a proposed underwriting arrangement.

IN USE identify an underwriting subjectivity

material information

Information relevant under the applicable decision or disclosure framework.

IN USE request material information

occupancy

The use of premises relevant to a property-risk assessment.

IN USE describe the occupancy

risk engineering

Technical assessment of risk conditions and controls.

IN USE request risk engineering input

declination

A decision not to offer the requested insurance.

IN USE communicate a declination

submission completeness

Whether the requested submission information has been supplied.

IN USE check submission completeness

Precision check

Loss information needs a defined period and reporting basis. Missing records do not establish no losses. A loss run may show paid amounts, outstanding estimates, and status at a valuation date rather than a final outcome.

Phrases you can actually use

C Notice the language / 1 of 2

SPECIFY THE MISSING INFORMATION

"We still need the operating locations and three-year loss history."

AVOID A FAVORABLE ASSUMPTION

"A blank loss-history field does not mean no losses."

CHECK THE REPORTING BASIS

"Include the loss run's valuation date."

SEPARATE THE STAGES

"Completing the submission does not guarantee acceptance."

CLARIFY THE ACTIVITY

"Does maintenance mean workshop work, customer-site work, or both?"

NAME THE INFORMATION PERIOD

"Please supply the requested three-year records."

EXPLAIN THE PURPOSE

"These details are needed to assess the risk presented."

AVOID A COVERAGE PROMISE

"No quote, binder, or coverage confirmation has been issued."

Still need

Identifies an outstanding requirement without implying a refusal.

Does this mean

Requests clarification instead of selecting an unsupported interpretation.

No losses versus no records

Different factual statements that must not be substituted.

Phrases you can actually use

C Notice the language / 2 of 2

RECOGNIZE URGENCY

"I understand that the requested start date is important."

NAME THE FOLLOW-UP

"Lena will obtain the activity and location breakdown."

LIMIT THE COMMITMENT

"That is an update time, not a promise of bound cover."

PRESERVE UNCERTAINTY

"We have not established where all the work takes place."

KEEP THE DATE ACCURATE

"A requested inception date is not a confirmed inception date."

GIVE A CONCRETE CONTACT

"We will update the submission status Monday at 11:00."

CHECK AUTHORITY

"Any decision must follow the applicable underwriting authority."

CLOSE THE HANDOFF

"Send the missing records with their period and source clearly identified."

Requested versus confirmed

Distinguishes a desired date from an established agreement.

Complete versus accepted

Distinguishes information status from the underwriting decision.

Issued

Requires an actual document or decision, not an intention.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which request is most useful?

- A** Please resend the applicant name and preferred start date.
- B** Please confirm that maintenance is the description on the form.
- C** Please provide this year's paid claims without location details.
- D** Please provide the operating locations, activity breakdown, and three-year loss records.

2. Which statement improperly promises coverage?

- A** Cover begins Monday because that is when the update is due.
- B** No binder has been issued.
- C** The application remains under review.
- D** The start date is requested, not confirmed.

3. What does supplying all requested records accomplish by itself?

- A** It addresses submission completeness, not automatic acceptance.
- B** It automatically binds every requested risk.
- C** It eliminates every possible exposure.
- D** It forces the insurer to offer the lowest premium.

4. Why ask for a loss run's valuation date?

- A** Reported claim amounts and statuses relate to a stated evaluation date.
- B** It always equals the future policy inception date.
- C** It proves every claim is permanently closed.
- D** It replaces the requested three-year history.

[Answers and explanations: page 85.](#)

An incomplete submission cannot establish the risk

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

underwriting authority / binder / operating location / Submission completeness / business activity / submission / loss run / inception date / referral / loss history

- 01 **Lena:** Atlas needs cover quickly. The application says maintenance, but I can see the operating-location fields and three-year loss-history section are incomplete.
- 02 **Theo:** We need a clearer ¹ _____ description first. Does the work happen in a workshop, at customer premises, or both? We cannot choose one simply because the label sounds familiar.
- 03 **Lena:** I will obtain a breakdown from the client. The blank history field should not be treated as a statement that no losses occurred.
- 04 **Theo:** Correct. Request the ² _____ for the specified three years. Missing information is not a favorable answer. We need the actual record and any relevant explanation of its coverage or limitations.
- 05 **Lena:** The client may have records from its previous insurer. I will ask what period they cover and whether the reported amounts are current.
- 06 **Theo:** If a ³ _____ is available, include its valuation date. Claim amounts and statuses can change. We should know the basis of the record rather than treat every figure as a final settled amount.
- 07 **Lena:** Atlas also has a storage address. I do not yet know whether work is performed there or whether it is only used for supplies.
- 08 **Theo:** Clarify each ⁴ _____ and its use. An address alone does not tell us the occupancy or whether there is off-site work. The activity and location details need to agree.
- 09 **Lena:** Would complete records let Atlas tell its customer that insurance is arranged? They want a definite answer today.
- 10 **Theo:** No. ⁵ _____ is one stage, not an acceptance decision. The information allows the risk to be reviewed under the applicable criteria and authority. It does not predetermine the outcome.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 10.

- 11 **Lena:** I will explain that distinction. The client requested Monday as the start date, but I have no document confirming that insurance begins then.
- 12 **Theo:** Keep the ⁶ _____ described as requested. No quote, binder, or coverage confirmation has been issued. An urgent preference does not become confirmed insurance because we repeat it confidently.
- 13 **Lena:** I will call the date requested. Does this call provide temporary cover while the paperwork catches up?
- 14 **Theo:** Do not present it as a ⁷ _____. This exchange requests information and describes review status. It does not create an insurance agreement or authorize you to represent that one has been issued.
- 15 **Lena:** I will update you Monday at eleven, even if a previous insurer has not yet supplied every record. Is that useful?
- 16 **Theo:** Yes. Give the ⁸ _____ status and identify exactly what remains missing. A useful update can explain an unresolved dependency without disguising it as a completed review or an expected acceptance.
- 17 **Lena:** If the clarified activities require a more senior decision, I would rather know the next review step than make a promise to the client.
- 18 **Theo:** We can explain the relevant ⁹ _____ status when applicable. Keep the distinction between a review route and a decision. Neither an escalation nor a request for information is automatically a declination.
- 19 **Lena:** My client update will list the requested facts, Monday's status contact, and the absence of any coverage confirmation. It will avoid a guaranteed outcome.
- 20 **Theo:** Good. Any eventual decision must respect ¹⁰ _____ and the applicable process. Clear information helps that decision, but it does not substitute for the required authorization or the actual terms offered.

ANSWERS / EXPLANATIONS: PAGE 86

1. business activity | 2. loss history | 3. loss run | 4. operating location | 5. Submission completeness | 6. inception date | 7. binder | 8. submission | 9. referral | 10. underwriting authority

Complete another submission handoff

F Say it

The Nova application lacks two operating addresses and the requested two-year loss record. Priya will obtain the information. A status update is due Thursday at 10:00; no binder has been issued.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

loss record / Priya / two / Thursday at 10:00

Broker: "The number of missing operating addresses is ¹ _____."

Underwriter: "The requested two-year document is the ² _____."

Broker: "The person obtaining the information is ³ _____."

Underwriter: "The status update is due ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 86

1. two | 2. loss record | 3. Priya | 4. Thursday at 10:00

Rehearse with a fixed script

1. Read turns 1-10 and emphasize the activity, location, and loss-record requests.
2. Swap roles for turns 11-20; distinguish the requested start date from bound cover.
3. Complete the Nova transfer and check the missing items, owner, and update time.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A summary does not contain the whole contract

A Read the situation

Explain the roles of policy documents without deciding coverage from an isolated heading.

Business owner Rosa has a one-page summary showing a property limit of \$500,000 and a \$2,000 deductible. She assumes that every type of property damage is covered up to that limit. Account specialist Evan has the declarations and base form, but the listed endorsement E17 has not yet been retrieved. The full policy also contains conditions and exclusions that require review. No particular loss is being decided in this exchange. Evan will obtain E17 and walk Rosa through the applicable documents; the limit and deductible alone do not establish whether any specific event is covered.

PEOPLE / Rosa: Business owner | Evan: Account specialist

TRANSLATE STRUCTURE BEFORE OFFERING INTERPRETATION

Clients may reasonably expect a short summary to be complete. Explain which document supplies which information and why the applicable forms must be read together. Avoid blaming the client for an inference encouraged by an oversimplified summary.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What does the one-page summary show?

- | | |
|--|--|
| A A final decision about every future loss | B The retrieved text of E17 |
| C A \$500,000 property limit and a \$2,000 deductible | D Every exclusion in the policy |

2. Which listed document is missing from the current review?

- | | |
|-------------------------------|--------------------------|
| A The one-page summary | B Endorsement E17 |
| C The declarations | D The base form |

3. What is not established by the two amounts alone?

- | | |
|---|---|
| A That further document review is needed | B That a deductible is shown |
| C Coverage for a particular event | D The figures printed on the summary |

Answers and explanations: page 87.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

policy wording

The text establishing the insurance contract's applicable terms.

IN USE review the policy wording

declarations

Policy information identifying the insured, period, limits, and other stated particulars.

IN USE check the declarations

insuring agreement

The policy section describing the basic insurance promise subject to its terms.

IN USE read the insuring agreement

definition

A specified meaning assigned to a term in the policy.

IN USE apply the policy definition

condition

A requirement or provision affecting rights and obligations under the policy.

IN USE review a policy condition

exclusion

A provision removing specified matters from coverage, subject to the applicable wording.

IN USE examine an exclusion

endorsement

A document modifying the policy's terms.

IN USE read the applicable endorsement

schedule

A list of items, locations, amounts, or forms attached to a policy.

IN USE check the policy schedule

coverage limit

The maximum applicable amount subject to the policy's terms.

IN USE identify the coverage limit

sublimit

A separate lower limit applying to a specified part of coverage.

IN USE identify a sublimit

aggregate limit

A limit applying to a defined total of claims or losses over a stated basis.

IN USE review the aggregate limit

per-occurrence limit

A limit applying to one occurrence as defined by the policy.

IN USE check the per-occurrence limit

Precision check

An endorsement can add, restrict, or otherwise modify coverage; it is not automatically an extra benefit. Its form, effective date, and actual wording matter. E17 cannot be interpreted before its text is obtained.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

deductible

The specified amount or share borne by the insured under the applicable terms.

IN USE explain the deductible

retention

A portion of risk or cost retained under a defined arrangement.

IN USE distinguish a retention

named insured

A person or organization identified as an insured in the policy.

IN USE verify the named insured

additional insured

A party given insured status for a defined scope under the applicable terms.

IN USE confirm additional insured status

covered property

Property meeting the policy's applicable coverage description.

IN USE identify covered property

covered cause of loss

A cause of loss within the applicable coverage wording.

IN USE assess a covered cause of loss

policy period

The interval during which the policy applies according to its terms.

IN USE confirm the policy period

effective date

The date on which a specified policy or change takes effect.

IN USE verify the endorsement's effective date

form number

An identifier for a policy document or wording version.

IN USE match the form number

coverage summary

A condensed description that may omit detailed policy provisions.

IN USE qualify the coverage summary

interpretation

Explanation of wording in its full relevant context.

IN USE support the interpretation

document set

The complete applicable collection of policy forms and amendments.

IN USE assemble the document set

Precision check

A limit is not a guarantee that every loss is covered or paid in full. The deductible also does not answer coverage by itself. Definitions, insuring terms, exclusions, conditions, endorsements, and facts must be considered as applicable.

Phrases you can actually use

C Notice the language / 1 of 2

RECOGNIZE THE INFERENCE

"I can see why the short summary gave that impression."

STATE THE VISIBLE AMOUNTS

"It shows a \$500,000 limit and a \$2,000 deductible."

IDENTIFY THE MISSING FORM

"Endorsement E17 is listed but has not been retrieved."

READ THE SET TOGETHER

"We need the applicable forms and endorsements."

NAME THE DOCUMENT'S ROLE

"This is a summary, not the complete policy wording."

LIMIT THE CONCLUSION

"Those amounts do not establish coverage for every event."

AVOID GUESSING THE CHANGE

"We cannot infer E17's effect from its number."

EXPLAIN AN ENDORSEMENT

"It can modify coverage, including restricting it."

Subject to

Connects a statement to qualifications that may materially affect it.

Listed versus retrieved

A document reference is not the document's actual wording.

Can modify

Includes additions and restrictions, not only extra protection.

Phrases you can actually use

C Notice the language / 2 of 2

KEEP DEFINITIONS VISIBLE

"The policy may assign a specific meaning to a familiar word."

AVOID A BLANKET PROMISE

"I cannot describe every type of damage as covered."

OFFER A CONCRETE NEXT STEP

"I will obtain E17 and review the document set with you."

ASK A PRECISE QUESTION

"Which wording supports the coverage statement in the summary?"

CHECK THE APPLICABLE PERIOD

"Confirm the form and effective date."

DISTINGUISH LIMIT AND SCOPE

"The amount of a limit and the scope of coverage are different questions."

PRESERVE THE ACTUAL TASK

"We are clarifying documents, not deciding a particular loss today."

CLOSE ACCURATELY

"We will explain the applicable provisions together rather than rely on one heading."

Every type

An absolute claim unsupported by a summary heading.

Applicable

Restricts the review to the correct forms and period.

Limit versus coverage

The maximum amount and the existence of protection are separate questions.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which explanation is accurate?

- A** A form number reveals the complete wording.
- B** The summary shows amounts but does not contain every applicable term.
- C** A listed limit means every event is covered.
- D** Every endorsement only adds protection.

2. What should Evan do about E17?

- A** Ignore it because the summary is shorter.
- B** Replace it with wording from an unrelated account.
- C** Obtain the applicable text and check its form and effective date.
- D** Assume it adds unlimited coverage.

3. Which statement confuses amount and scope?

- A** No particular loss is being decided today.
- B** A \$500,000 limit proves that any property loss is insured.
- C** The summary shows a \$2,000 deductible.
- D** Conditions may affect policy obligations.

4. Why review policy definitions?

- A** They automatically remove every exclusion.
- B** They guarantee the highest limit for every loss.
- C** They replace all endorsements.
- D** Familiar words can have specified meanings in the contract.

Answers and explanations: page 87.

A summary does not contain the whole contract

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

endorsement / exclusion / document set / deductible / coverage limit / coverage summary / insuring agreement / form number / policy wording / definition

- 01 **Rosa:** The summary says property cover up to five hundred thousand dollars. I assumed that meant every kind of property damage, after the deductible.
- 02 **Evan:** I can see why. But this ¹ _____ does not contain every applicable term. The limit and deductible are important, but they do not establish that every event or type of damage is covered.
- 03 **Rosa:** I have the summary and declarations. Are those two documents enough, or should I also have the longer form you mentioned?
- 04 **Evan:** We need the complete applicable ² _____. I have the declarations and base form, but endorsement E17 is listed and has not yet been retrieved. We should not skip a listed amendment.
- 05 **Rosa:** I thought an endorsement always added protection. Could it actually reduce coverage or change the meaning of something in the main form?
- 06 **Evan:** An ³ _____ can make different kinds of changes. We need its actual text, applicable form, and effective date. Its number alone does not tell us whether it expands or restricts anything.
- 07 **Rosa:** Then we should not describe E17 to my team until we have it. Where does the policy state the basic coverage promise?
- 08 **Evan:** The ⁴ _____ is one starting point, read with the definitions and other provisions. It is not a standalone promise that can be separated from the rest of the applicable wording.
- 09 **Rosa:** Occurrence sounds like an ordinary word. Are you saying the policy definition could change how the limit applies?
- 10 **Evan:** A policy ⁵ _____ may give a familiar word a specific meaning. We need that meaning when reading the relevant provision, rather than assume the everyday meaning settles the coverage question.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 19.

- 11 **Rosa:** The deductible is two thousand dollars. Does agreeing to bear that amount make every larger loss eligible for payment?
- 12 **Evan:** No. The ⁶ _____ addresses the insured's specified share under the terms. It does not by itself establish that the property, cause, event, and other circumstances fall within coverage.
- 13 **Rosa:** What about the five-hundred-thousand-dollar figure? My colleague has been treating it as a guaranteed payment amount whenever something serious happens.
- 14 **Evan:** A ⁷ _____ is not a guaranteed payment. The applicable scope, facts, and other terms still matter. We should correct that interpretation before it becomes a promise in your internal planning.
- 15 **Rosa:** Please show me the basic promise and the provisions that change it. I need to explain the structure to my team.
- 16 **Evan:** We will review each relevant ⁸ _____ in context, alongside conditions and endorsements. I will not simply list broad headings and ask you to assume that they describe every possible event.
- 17 **Rosa:** Is the effective date another detail we should check when the endorsement arrives? I do not want to use an unrelated version.
- 18 **Evan:** Yes. Match the ⁹ _____ and effective date to the applicable policy. A similar document from another period or account is not a reliable substitute for the actual issued wording.
- 19 **Rosa:** Please obtain E17 and walk me through the set. We are not asking you to decide a specific claim in this conversation.
- 20 **Evan:** Agreed. We will explain the ¹⁰ _____ together and correct the summary's overbroad impression. Any particular loss would require its facts and the applicable decision process, not a conclusion from the two amounts alone.

ANSWERS / EXPLANATIONS: PAGE 88

1. coverage summary | 2. document set | 3. endorsement | 4. insuring agreement | 5. definition | 6. deductible | 7. coverage limit | 8. exclusion | 9. form number | 10. policy wording

Identify another incomplete document set

F Say it

A summary shows a \$200,000 limit and a \$1,500 deductible. The declarations list endorsement R4, which has not been retrieved. No specific claim is under decision.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

1,500 / R4 / not / 200,000

Client: "The displayed limit is ¹ _____ dollars."

Specialist: "The displayed deductible is ² _____ dollars."

Client: "The missing endorsement is ³ _____."

Specialist: "A specific claim is ⁴ _____ under decision here."

ANSWERS / EXPLANATIONS: PAGE 88

1. 200,000 | 2. 1,500 | 3. R4 | 4. not

Rehearse with a fixed script

1. Read turns 1-10 and distinguish the summary, declarations, base form, and endorsement.
2. Swap roles for turns 11-20; say what the deductible and limit do not establish.
3. Complete the R4 transfer and check the two amounts, missing form, and claim status.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Open the file without inventing the loss details

A Read the situation

Ask for precise missing claim information and distinguish an estimate from a settlement commitment.

Intake specialist Mina receives notice of alleged water damage under claim C204. The caller, Ben, has provided contact details and photographs, but the event date is unknown and the repair estimate has not been received. The date the damage was discovered is 6 June; that is not necessarily the date the event occurred. An adjuster has not completed the coverage or amount review. Mina will request the known timeline and supporting documents through the approved channel. An internal reserve, if established under the applicable process, is an estimate for claim accounting and management, not a promise of payment to Ben.

PEOPLE / Ben: Policyholder | Mina: Claims intake specialist

LET THE CLIENT SAY UNKNOWN

People sometimes guess to satisfy a form or to avoid sounding unhelpful. Ask for what is known, distinguish discovery from occurrence, and record uncertainty accurately. A complete-looking file is less useful than an honest file that identifies the missing evidence.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What date is known?

- A Discovery on 6 June
- B The confirmed date the event occurred
- C The final payment date
- D The adjuster's coverage-decision date

2. What supporting document is missing?

- A All photographs
- B The caller's contact details
- C A completed payment receipt
- D The repair estimate

3. What does an internal reserve not establish?

- A A payment promise to Ben
- B An internal estimate under the applicable process
- C A figure that may need review as information changes
- D A claim-management or accounting measure

Answers and explanations: [page 89](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

first notice of loss (FNOL)

The initial report of an event or loss to an insurer.

IN USE record first notice of loss

claimant

A person or entity making a claim.

IN USE identify the claimant

policyholder

The person or organization holding the policy.

IN USE contact the policyholder

claim number

The identifier assigned to a claim file.

IN USE quote the claim number

date of loss

The date associated with the event causing the claimed loss, as applicable.

IN USE establish the date of loss

discovery date

The date the loss or damage was first noticed.

IN USE record the discovery date

notification date

The date the insurer or relevant recipient was notified.

IN USE confirm the notification date

claim intake

The initial collection and recording of claim information.

IN USE complete claim intake

adjuster

A person responsible for investigating or evaluating claims within their role.

IN USE assign an adjuster

supporting documentation

Records relevant to evaluating the claimed event or amount.

IN USE request supporting documentation

repair estimate

A projected cost for specified repair work.

IN USE obtain a repair estimate

proof of loss

A statement or document describing claimed loss as required by the applicable process.

IN USE request the applicable proof of loss

Precision check

The event date, discovery date, and notification date can differ. Record the known discovery date as such. Do not move it into the event-date field merely because the latter is empty.

The vocabulary that does the work

B Find the words / 2 of 2

03

Read the definitions and say the common word combinations aloud.

case reserve

An estimate assigned to an individual claim under the reserving process.

IN USE review the case reserve

unpaid claim estimate

An estimate of amounts remaining to be paid on relevant claims.

IN USE assess an unpaid claim estimate

paid loss

Claim amounts already paid on the stated basis.

IN USE report paid loss

incurred loss

A loss measure combining paid amounts and relevant estimates on a specified basis.

IN USE define the incurred loss basis

incurred but not reported (IBNR)

An estimate for claims or development not yet reflected in reported information on the stated basis.

IN USE explain the IBNR estimate

loss adjustment expense (LAE)

Costs associated with investigating and settling claims under the accounting definition used.

IN USE distinguish loss adjustment expense

settlement

An agreement or resolution concerning the claim under applicable terms.

IN USE document a settlement

payment authorization

Approval for a specified claim payment.

IN USE verify payment authorization

claim chronology

A timeline of reported events and claim-handling steps.

IN USE build a claim chronology

information request

A request specifying what additional material is needed.

IN USE issue a clear information request

secure submission channel

An approved route for transmitting sensitive claim information.

IN USE use the secure submission channel

acknowledgment

Confirmation that a report or communication was received.

IN USE send a claim acknowledgment

Precision check

Reserving estimates and settlement decisions serve different purposes. A reserve may change as information develops; it is not a contractual coverage determination or an amount the policyholder has been promised.

Phrases you can actually use

C Notice the language / 1 of 2

03

ACKNOWLEDGE RECEIPT

"We have opened claim C204 and received your photographs."

PRESERVE THE UNKNOWN

"The event date has not yet been established."

REQUEST A KNOWN TIMELINE

"Tell us when you first noticed the damage and what records you have."

EXPLAIN THE PURPOSE

"The adjuster needs these details to evaluate the reported loss."

SEPARATE THE DATES

"You discovered the damage on 6 June."

AVOID A GUESSED ENTRY

"Please do not guess a date to fill the form."

IDENTIFY THE MISSING DOCUMENT

"We still need the repair estimate."

PROTECT THE CHANNEL

"Please use the approved submission route for the documents."

Discovered on

States when damage was noticed without dating the underlying event.

Not established

Preserves an unresolved fact rather than inserting a guess.

Received versus reviewed

Possession of a document does not establish a completed evaluation.

Phrases you can actually use

C Notice the language / 2 of 2

03

CONFIRM WHAT IS ALREADY HELD

"We have your contact details and photographs."

KEEP THE CLAIM REFERENCE

"Include C204 with the supporting material."

EXPLAIN AN INTERNAL ESTIMATE

"A reserve is not a promise of payment."

DOCUMENT UNCERTAINTY

"I will record the date as unknown rather than inferred."

AVOID REPEATED REQUESTS

"I will check the file before asking you to resend anything."

STATE THE REVIEW STAGE

"Coverage and amount reviews are not complete."

SEPARATE AUTHORIZATION

"No payment is authorized by this intake conversation."

CLOSE THE REQUEST

"We need the known timeline and repair estimate, not an invented event date."

Estimate versus promise

A projected amount is not necessarily a payment commitment.

Still need

Should identify a specific missing item, not demand everything again.

As applicable

Recognizes that requirements depend on the actual policy and process.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which entry accurately records 6 June?

- A** Confirmed event date
- B** Final settlement date
- C** Payment-authorization date
- D** Discovery date

2. Which follow-up request is best?

- A** Please resend the photographs and contact details only.
- B** Please confirm that 6 June was also the event date.
- C** Please send the repair estimate without the chronology or claim reference.
- D** Please provide the known timeline and repair estimate through the approved channel, quoting C204.

3. Which statement improperly equates reserve and payment?

- A** The amount review is incomplete.
- B** The internal reserve is the amount we promise to pay you.
- C** The estimate may change as information develops.
- D** No coverage decision is supplied here.

4. What should Mina do before asking for photographs again?

- A** Delete the existing photographs without review.
- B** Replace the photographs with a guessed repair amount.
- C** Check the file, which already contains photographs.
- D** Assume no documents were ever received.

Answers and explanations: [page 89](#).

Open the file without inventing the loss details

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

information request / case reserve / acknowledgment / adjuster / Payment authorization / first notice of loss / discovery date / repair estimate / secure submission channel / claim chronology

- 01 **Ben:** I sent photographs, but I only know the discovery date, not when the event occurred.
- 02 **Mina:** We have your ¹ _____ under C204. Please tell me what you know without guessing. The report can accurately identify an unresolved fact rather than present an unsupported date as certain.
- 03 **Ben:** I noticed the damage on the sixth of June. I cannot say whether the underlying event happened that morning or earlier.
- 04 **Mina:** I will record that as the ² _____. The event date remains unknown. Those fields answer different questions, so I will not copy the sixth into the event-date field merely to complete it.
- 05 **Ben:** Your reminder asks for documents, but I sent the photographs. What is still missing?
- 06 **Mina:** We still need the ³ _____. Your contact details and photographs are already in the file. I will make the follow-up specific rather than ask you to resend everything without checking what we hold.
- 07 **Ben:** The repair company has not finished its estimate. I can send it when available, but I cannot provide a reliable amount today.
- 08 **Mina:** Note that status in the ⁴ _____. We need the known timeline and any relevant records, with uncertainties identified. An unavailable estimate should not become a made-up amount simply because the file has a field for it.
- 09 **Ben:** Would sending the estimate mean the claim is accepted? I need to explain the next step.
- 10 **Mina:** The ⁵ _____ still needs to review the claim. Providing a document is not the same as a coverage decision or agreement on the amount. Those reviews are not complete in this case.

The conversation, continued

E Conversations / turns 11-20

03

Continue with the word bank on page 28.

- 11 **Ben:** Someone mentioned a reserve in an internal note. Is that the amount the insurer has promised to pay me for the damage?
- 12 **Mina:** A ⁶ _____ is an internal estimate under the applicable process, not a settlement promise. It may change as information develops and does not by itself establish coverage or the final amount payable.
- 13 **Ben:** Understood. I should not tell the repairer that the reserve is approved payment. We have no settlement yet.
- 14 **Mina:** Correct. ⁷ _____ is a separate matter. This intake conversation collects information and explains status. It does not authorize a payment or replace the review of the applicable policy and facts.
- 15 **Ben:** How should I send the repair estimate and timeline? They include some personal contact information and the property reference.
- 16 **Mina:** Use the approved ⁸ _____ provided through our verified service process, and include claim C204. Do not send sensitive documents to an unverified address simply because a message appears to mention your claim.
- 17 **Ben:** Please make the request list clear. I will provide the known dates and the repair estimate when it is available, without guessing the event date.
- 18 **Mina:** I will send that ⁹ _____ and identify what we already hold. This helps you respond to the actual gaps rather than repeat work or infer that every earlier submission has been lost.
- 19 **Ben:** That gives me a practical next step. I understand that receipt of the documents is not confirmation of coverage or the final settlement amount.
- 20 **Mina:** Exactly. Our ¹⁰ _____ will confirm receipt, while the review status remains separate. Keep the claim reference on future correspondence so the new information can be connected to the correct file and evaluated in context.

ANSWERS / EXPLANATIONS: PAGE 90

1. first notice of loss | 2. discovery date | 3. repair estimate | 4. claim chronology | 5. adjuster | 6. case reserve | 7. Payment authorization | 8. secure submission channel | 9. information request | 10. acknowledgment

Separate the dates in another intake call

F Say it

For claim C318, damage was discovered on 12 July. The event date remains unknown. Photographs are received; the repair estimate is missing. No payment decision has been made.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

repair estimate / unknown / C318 / 12 July

Specialist: "The claim reference is ¹ _____."

Caller: "The discovery date is ² _____."

Specialist: "The missing cost document is the ³ _____."

Caller: "The event date remains ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 90

1. C318 | 2. 12 July | 3. repair estimate | 4. unknown

Rehearse with a fixed script

1. Read turns 1-10, keeping discovery date and unknown event date separate.
2. Swap roles for turns 11-20; contrast a reserve, a settlement, and payment authorization.
3. Complete the C318 transfer and verify each answer before rereading the intake exchange.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Explain an open review without implying a denial

A Read the situation

Respond to pressure for certainty with an accurate status, specific outstanding issue, and useful follow-up.

Policyholder Miles reports equipment damage under claim K91 and asks whether the loss is definitely covered. Claims representative Sana confirms that the review is open. The cause report is outstanding, and the applicable endorsement must be evaluated against the facts. No coverage determination, denial, or payment commitment has been made. Sana will provide a status update Friday at 16:00, whether or not the review is complete. Miles interprets the request for more information as a rejection. Sana must correct that impression without promising acceptance or implying that a pending review suspends any applicable rights or deadlines.

PEOPLE / Miles: Policyholder | Sana: Claims representative

ACKNOWLEDGE THE NEED WITHOUT BORROWING CERTAINTY

A policyholder may need a definite answer to make practical decisions. Acknowledge that pressure, explain the actual unresolved issue, and provide a reliable communication step. Neither reassurance nor defensive language should change the claim status.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the claim's current status?

A A denial has been issued.

C Coverage review remains open.

B Payment has been authorized.

D The claim is definitely covered.

2. Which information is outstanding?

A An already final coverage decision

C Every contact detail

B The cause report

D A previously issued settlement payment

3. What is promised for Friday at 16:00?

A A status update even if review remains incomplete

C An automatic denial

B A guaranteed acceptance

D A payment transfer

Answers and explanations: page 91.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

coverage determination

A decision about whether and how policy coverage applies to a claim.

IN USE issue a coverage determination

coverage review

Evaluation of the policy and facts relevant to a claim's coverage.

IN USE complete a coverage review

coverage position

The insurer's stated interpretation or decision concerning coverage.

IN USE explain the coverage position

denial

A decision refusing a claim or specified part of it on a stated basis.

IN USE communicate a denial

partial coverage

Coverage applying to some but not all claimed matters under the decision.

IN USE explain partial coverage

reservation of rights

A notice preserving specified coverage rights while a matter is handled, subject to applicable law.

IN USE review a reservation of rights

cause report

A report examining how an event or damage occurred.

IN USE obtain the cause report

causation

The relationship between an event and the claimed loss.

IN USE assess causation

factual basis

The established information supporting a conclusion.

IN USE explain the factual basis

policy provision

A specific term or clause in the policy.

IN USE cite the policy provision

applicable endorsement

The amendment relevant to the policy, period, and issue under review.

IN USE evaluate the applicable endorsement

unresolved issue

A question not yet answered sufficiently for the relevant decision.

IN USE identify the unresolved issue

Precision check

Pending is neither accepted nor denied. A request for relevant information is not itself a denial, and a promised update is not a promised outcome. Actual notices must comply with applicable requirements.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

review owner

The person responsible for coordinating the relevant evaluation.

IN USE identify the review owner

status update

A communication reporting the current stage and known developments.

IN USE provide a status update

decision notice

A communication conveying a specified decision.

IN USE distinguish the decision notice

review route

The applicable process for requesting further examination of a decision.

IN USE explain the review route

appeal

A request for reconsideration through an available formal process.

IN USE identify the applicable appeal process

complaint

An expression of dissatisfaction requiring handling under the relevant process.

IN USE record a complaint

rights and remedies

Available entitlements and means of pursuing them under the applicable framework.

IN USE explain relevant rights and remedies

notice requirement

A rule or term governing a required communication.

IN USE check the notice requirement

time limit

A period within which a specified action must be taken.

IN USE verify the applicable time limit

without prejudice

A context-dependent legal expression whose effect requires applicable legal assessment.

IN USE seek advice on without-prejudice wording

settlement authority

The defined power to approve a claim resolution or payment arrangement.

IN USE confirm settlement authority

written explanation

A documented account of the reasons and supporting basis for a position.

IN USE provide a written explanation

Precision check

Do not assume an open review pauses a policyholder deadline or removes a complaint or review right. Such questions require the applicable policy, jurisdiction, and authorized advice; this dialogue creates no legal extension.

Phrases you can actually use

C Notice the language / 1 of 2

ACKNOWLEDGE THE PRACTICAL NEED

"I understand that you need clarity for your next decisions."

CORRECT THE INFERENCE

"The information request is not a denial."

NAME THE MISSING ITEM

"We are waiting for the cause report."

KEEP THE DECISION SEPARATE

"No coverage determination has been made."

STATE THE ACTUAL STATUS

"The coverage review remains open."

AVOID THE OPPOSITE PROMISE

"It is not confirmation of coverage either."

EXPLAIN THE OTHER TASK

"The endorsement must be evaluated against the facts."

AVOID PAYMENT LANGUAGE

"I cannot promise payment from the current status."

Definitely covered

Claims a determination that has not been made here.

Not a denial

Corrects rejection without implying acceptance.

Waiting for

Identifies a specific dependency, not an excuse to stop communicating.

Phrases you can actually use

C Notice the language / 2 of 2

OFFER A RELIABLE CONTACT

"I will update you Friday at 16:00."

KEEP COMMUNICATION ACTIVE

"I will contact you even if the review is incomplete."

CLARIFY THE REQUEST

"The missing report is needed to assess the reported cause."

EXPLAIN AN EVENTUAL POSITION

"A decision should be communicated through the applicable process with its basis."

LIMIT THE TIME COMMITMENT

"That is an update time, not a guaranteed decision date."

RESPECT OTHER RIGHTS

"Do not assume this review changes any applicable deadline."

USE PLAIN STATUS WORDS

"Open review means the decision has not yet been reached."

CLOSE THE CALL

"We will separate the outstanding evidence, review status, and next contact."

Even if

Keeps the update commitment valid despite an incomplete review.

Any applicable deadline

Avoids inventing a universal time limit or extension.

Decision versus status

A report about progress is not necessarily a coverage ruling.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which response best matches the facts?

- A** Friday's update guarantees payment.
- B** The review is open; the cause report is outstanding; no coverage decision has been made.
- C** You are definitely covered because you reported the loss.
- D** We denied the claim by asking for information.

2. What should Sana do if review is incomplete on Friday?

- A** Skip the call because there is no final answer.
- B** Invent a favorable decision.
- C** Say all rights have expired without checking.
- D** Provide the promised status update and explain what remains open.

3. Which statement about deadlines is unsupported?

- A** Relevant deadlines require the applicable rules and wording.
- B** This example grants no extension.
- C** Status and legal rights are separate questions.
- D** The open review automatically pauses every applicable deadline.

4. How should an eventual decision be described?

- A** As the outcome usually reached on similar equipment claims
- B** As the adjuster's expected amount before the coverage review ends
- C** Through the applicable process with its actual basis and relevant next steps
- D** As an endorsement number without the relevant text or facts

Answers and explanations: [page 91](#).

Explain an open review without implying a denial

04

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

status update / cause report / factual basis / policy provision / coverage review / payment authorization / coverage determination / time limit / review route / denial

- 01 **Miles:** I need to know whether K91 is definitely covered. Your request for another report sounds as though the claim has already been rejected.
- 02 **Sana:** The ¹ _____ remains open. No coverage determination or denial has been made. I understand that you need clarity, but I should not describe an unfinished decision as either accepted or rejected.
- 03 **Miles:** Your email says further information required. Please name the missing document so I can follow up.
- 04 **Sana:** The ² _____ is outstanding. The applicable endorsement also needs to be evaluated against the facts. Those are the current review issues, rather than a completed conclusion that your loss is outside coverage.
- 05 **Miles:** Would providing that report guarantee acceptance? I need to decide what to do about the equipment.
- 06 **Sana:** Receiving it would inform the ³ _____, not guarantee a particular outcome. We still need to assess what it establishes alongside the applicable wording. I cannot turn a document request into a promise of acceptance.
- 07 **Miles:** Please confirm directly whether anything has been denied. Is this request a decision notice?
- 08 **Sana:** No ⁴ _____ has been made here. The information request is not one. At the same time, the absence of a denial is not confirmation that the claim is covered.
- 09 **Miles:** That is clearer. Can you identify who will keep me informed rather than leaving me to call repeatedly for the same status?
- 10 **Sana:** I will coordinate the ⁵ _____ Friday at sixteen hundred. I will contact you even if the review is incomplete, explain the actual position, and identify what remains unresolved rather than simply repeat a generic message.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 37.

- 11 **Miles:** Should I treat Friday as the date when the claim will be decided? That would at least give me a fixed planning point.
- 12 **Sana:** It is not a guaranteed ⁶ _____ date. Friday is our communication commitment. I do not control every outstanding input, so I should not promise that the substantive review will be complete by then.
- 13 **Miles:** Please explain how the provision fits the facts, rather than giving me an endorsement number alone.
- 14 **Sana:** The eventual explanation must identify the relevant ⁷ _____ and how it relates to the established facts. I will not guess that relationship before the review or substitute a broad label for the applicable wording.
- 15 **Miles:** Does an open review mean I can ignore any time limits elsewhere in the policy while I wait for your answer?
- 16 **Sana:** Do not assume that. An applicable ⁸ _____ needs to be checked under the policy and relevant requirements. This conversation creates no extension and does not remove any rights or obligations that may apply.
- 17 **Miles:** If I disagree with the eventual decision, will the available review routes be explained?
- 18 **Sana:** The applicable ⁹ _____ and complaint options should be communicated as required for the actual decision and jurisdiction. We should not invent a universal procedure or suggest that this current request takes those options away.
- 19 **Miles:** For now, I understand that you need the cause report, the endorsement review is ongoing, and I will receive a status call Friday.
- 20 **Sana:** Correct. No ¹⁰ _____ has been made or promised through this exchange. I will keep the evidence request, review status, and next contact clear so you are not left to infer a decision from silence.

ANSWERS / EXPLANATIONS: PAGE 92

1. coverage review | 2. cause report | 3. factual basis | 4. denial | 5. status update | 6. coverage determination | 7. policy provision | 8. time limit | 9. review route | 10. payment authorization

Correct another pending-review message

F Say it

Claim M22 awaits an inspection report. No coverage determination has been made. Rehan will provide a status update Tuesday at 14:00, even if the review remains incomplete.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

M22 / Tuesday at 14:00 / inspection report / Rehan

Representative: "The claim reference is ¹ _____."

Policyholder: "The missing document is the ² _____."

Representative: "Your update contact is ³ _____."

Policyholder: "The update is scheduled for ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 92

1. M22 | 2. inspection report | 3. Rehan | 4. Tuesday at 14:00

Rehearse with a fixed script

1. Read turns 1-10, acknowledging the practical problem before giving the review status.
2. Swap roles for turns 11-20; distinguish the Friday update from a decision deadline.
3. Complete the M22 transfer and check the missing report, contact, and update time.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Lower premium does not mean identical protection

A Read the situation

Explain a renewal trade-off using a bounded deductible calculation and a complete comparison request.

Broker Naomi compares two annual renewal quotes for client Victor. Quote A has a \$10,000 premium and a \$1,000 per-loss deductible; quote B has a \$9,000 premium and a \$5,000 per-loss deductible. Their full wording has not been compared, and neither quote is bound. For one arithmetic illustration only, assume a fully covered \$8,000 loss, sufficient applicable limits, no coinsurance, no other adjustments, and a deductible subtracted once from the loss. A would leave \$1,000 of that loss with Victor; B would leave \$5,000. The illustration is not a prediction of future claims or a coverage decision.

PEOPLE / Victor: Business client | Naomi: Insurance broker

EXPLAIN THE TRADE-OFF BEFORE ASKING FOR A CHOICE

A client may focus on the most visible price. Acknowledge the premium saving, then quantify the changed deductible under explicit assumptions. Do not hide the trade-off or present a simplified example as proof of which option will be best for the client.

Briefing checks

Circle one answer in each item. Use the briefing.

1. How much lower is B's annual premium?

- A \$1,000
- C \$5,000

- B \$4,000
- D \$9,000

2. How much higher is B's per-loss deductible?

- A \$8,000
- C \$4,000

- B \$10,000
- D \$1,000

3. What is not yet established?

- A The stated deductible amounts
- C That the full coverage wording is otherwise identical

- B The arithmetic illustration's loss amount
- D The stated premium amounts

Answers and explanations: page 93.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

renewal

Continuation or replacement of insurance for a further policy period.

IN USE review the renewal

renewal quote

Proposed terms for the next policy period.

IN USE compare renewal quotes

annual premium

The stated insurance price for a one-year period on the specified basis.

IN USE compare the annual premium

per-loss deductible

The deductible applied to each loss under the stated terms.

IN USE explain the per-loss deductible

premium saving

A reduction in premium relative to a specified comparison.

IN USE quantify the premium saving

retained loss

The part of a loss borne by the insured under the arrangement.

IN USE compare retained loss

out-of-pocket amount

Money the client bears directly on the defined basis.

IN USE estimate the out-of-pocket amount

coverage comparison

Review of differences in the protection and terms offered.

IN USE prepare a coverage comparison

like-for-like basis

A comparison holding relevant terms and assumptions consistent.

IN USE compare on a like-for-like basis

coinsurance

A cost-sharing or insurance-to-value provision whose meaning depends on the policy type.

IN USE review the coinsurance provision

valuation basis

The method used to determine the value of a covered loss.

IN USE compare the valuation basis

replacement cost

A valuation basis concerning replacement under the applicable terms.

IN USE review replacement-cost terms

Precision check

In the \$8,000 illustration, A pays \$7,000 and B pays \$3,000, with Victor bearing \$1,000 and \$5,000 respectively. These results depend on all stated assumptions and do not decide actual claim coverage.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

actual cash value

A valuation measure defined by applicable policy terms and law, often reflecting depreciation.

IN USE explain actual cash value

depreciation

A reduction in value attributed to age, wear, or other relevant factors.

IN USE account for depreciation

sublimit comparison

Review of differences in specified lower coverage limits.

IN USE complete a sublimit comparison

coverage gap

An identified absence or interruption of relevant insurance protection.

IN USE identify a coverage gap

renewal condition

A stated requirement affecting the proposed renewal.

IN USE confirm a renewal condition

quote validity

The period and conditions during which proposed terms remain available.

IN USE check quote validity

binding instruction

A request to place coverage under the applicable authority and process.

IN USE confirm binding instructions

binding confirmation

Communication confirming placed coverage according to its actual terms.

IN USE obtain binding confirmation

effective period

The dates during which the relevant terms apply.

IN USE verify the effective period

illustrative loss

A hypothetical loss used to demonstrate a calculation.

IN USE label the illustrative loss

total-cost comparison

Comparison including specified premium and loss or other cost components.

IN USE state the total-cost comparison basis

risk tolerance

Willingness and capacity to bear uncertainty or loss under a defined context.

IN USE discuss risk tolerance

Precision check

B saves \$1,000 in annual premium but retains \$4,000 more in this one-loss illustration. Combining premium and retained loss gives \$11,000 for A and \$14,000 for B in that illustration only, not an expected annual-cost forecast.

Phrases you can actually use

C Notice the language / 1 of 2

ACKNOWLEDGE THE SAVING

"B's annual premium is \$1,000 lower."

REJECT FALSE EQUIVALENCE

"These are not identical terms for less money."

SET THE ASSUMPTIONS

"Assume one fully covered \$8,000 loss with no other adjustments."

CALCULATE THE SECOND SHARE

"Under B, you would retain \$5,000 of that loss."

NAME THE CHANGED TERM

"B's per-loss deductible is \$4,000 higher."

KEEP THE REVIEW OPEN

"We have not yet compared the complete wording."

CALCULATE THE FIRST SHARE

"Under A, you would retain \$1,000 of that loss."

STATE THE INSURER AMOUNT

"The illustrated insurer payments are \$7,000 and \$3,000."

Lower premium

Describes price, not automatically the scope or value of protection.

Per loss

Matters because application can differ from annual or aggregate arrangements.

Would under these assumptions

Keeps the calculation conditional.

Phrases you can actually use

C Notice the language / 2 of 2

LIMIT THE EXAMPLE

"This is arithmetic practice, not a prediction or coverage decision."

CONTRAST THE EXAMPLE

"The same illustrated total is \$14,000 under B."

CHECK OTHER DIFFERENCES

"We still need the exclusions, endorsements, limits, and valuation terms."

ASK FOR A DOCUMENTED DECISION

"Confirm the actual terms before giving binding instructions."

INCLUDE THE FULL BASIS

"Premium plus retained loss totals \$11,000 under A in this example."

AVOID UNIVERSAL ADVICE

"One hypothetical loss does not establish the best option for every future year."

PRESERVE QUOTE STATUS

"Neither quote is currently bound."

CLOSE THE COMPARISON

"We will show the premium saving and the changed exposure together."

Fully covered

A supplied illustration assumption, not a conclusion about a real claim.

Neither bound

Describes placement status, not merely the existence of a quote.

Expected versus illustrative

A single example does not estimate the distribution of future outcomes.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. In the illustration, what would A's insurer payment be?

- A** \$3,000
- B** \$7,000
- C** \$8,000
- D** \$1,000

2. In the illustration, what would B's insurer payment be?

- A** \$3,000
- B** \$5,000
- C** \$9,000
- D** \$7,000

3. Which premium-plus-retained-loss comparison is correct for this example?

- A** A: \$10,000; B: \$9,000 with no retained loss
- B** A: \$18,000; B: \$17,000
- C** Both: \$8,000
- D** A: \$11,000; B: \$14,000

4. Which conclusion is unsupported?

- A** B has the lower stated premium.
- B** B has the higher stated deductible.
- C** Neither quote is bound.
- D** B provides identical coverage and always costs less overall.

Answers and explanations: [page 93](#).

Lower premium does not mean identical protection

E Conversations / turns 1-10

05

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

Coinurance / binding confirmation / total-cost comparison / effective period / premium saving / like-for-like basis / valuation basis / annual premium / retained loss / illustrative loss

- 01 **Victor:** Quote B is a thousand dollars cheaper annually. Is this simply the same protection for less money, or is there a trade-off?
- 02 **Naomi:** The ¹ _____ is lower, but B's deductible is five thousand rather than one thousand dollars. We also have not compared the full wording, so we cannot claim equivalent protection.
- 03 **Victor:** The deductible difference is four thousand dollars per loss. Could you show how that would matter using the eight-thousand-dollar example?
- 04 **Naomi:** Yes, as an ² _____ only. Assume it is fully covered, limits are sufficient, no coinsurance or other adjustment applies, and the deductible is subtracted once. Those assumptions are essential to the calculation.
- 05 **Victor:** Under A, subtracting one thousand from eight thousand gives a seven-thousand-dollar insurer payment. My share of that loss would be one thousand.
- 06 **Naomi:** Correct. That is your ³ _____ in this example. Under B, the five-thousand-dollar deductible leaves a three-thousand-dollar insurer payment and five thousand for you to bear.
- 07 **Victor:** So B's premium saving is one thousand, but I retain four thousand more if this particular hypothetical loss occurs. Those are different comparisons.
- 08 **Naomi:** Exactly. Show the ⁴ _____ and deductible effect side by side. Do not describe the saving as a guaranteed reduction in every cost you could face during the policy year.
- 09 **Victor:** If I include annual premium and my share of this one loss, I get eleven thousand for A and fourteen thousand for B.
- 10 **Naomi:** That is the correct ⁵ _____ on this narrow basis. It is not an expected annual-cost forecast. Different losses, no losses, or other policy terms could produce different outcomes.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 46.

- 11 **Victor:** Could another term affect the calculation even if the main limit shown on both quotes looks the same? We have only compared the headline figures.
- 12 **Naomi:** Yes. The ⁶ _____, exclusions, endorsements, sublimits, and other applicable provisions need review. A matching headline limit does not prove that the full coverage or settlement basis is identical.
- 13 **Victor:** One quote also mentions coinsurance. We have left that out of the arithmetic, so I still need its actual effect explained.
- 14 **Naomi:** Correct. ⁷ _____ requires the relevant wording and policy context. We should not transfer a definition from another product or assume the simplified illustration settles how that provision applies.
- 15 **Victor:** Please keep the example separate from your recommendation. Our decision also depends on which losses we can afford to retain.
- 16 **Naomi:** It is not. A ⁸ _____ requires the complete terms, and a decision also needs your actual needs and capacity to bear loss. One hypothetical event cannot decide every possible future year.
- 17 **Victor:** Have either of these terms already been placed? I have not instructed you to proceed with a particular quote.
- 18 **Naomi:** Neither has ⁹ _____. We must keep proposed terms separate from actual placement. A discussion of the lower premium or our calculation does not by itself confirm coverage under either quote.
- 19 **Victor:** Please finish the wording comparison and show the premium and deductible differences clearly. Then we can make a documented decision about the proposal.
- 20 **Naomi:** Agreed. We will confirm the ¹⁰ _____ and other relevant conditions before acting on binding instructions. The comparison should make the trade-offs visible, not hide them behind the lower annual price.

ANSWERS / EXPLANATIONS: PAGE 94

1. annual premium | 2. illustrative loss | 3. retained loss | 4. premium saving | 5. total-cost comparison | 6. valuation basis | 7. Coinsurance | 8. like-for-like basis | 9. binding confirmation | 10. effective period

Compare a second pair of deductibles

F Say it

For one fully covered \$6,000 loss, assume sufficient limits and no other adjustments. Quote C has a \$500 per-loss deductible; D has a \$2,000 deductible. Deductibles are subtracted once.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

5,500 / 4,000 / 2,000 / 500

Broker: "Under C, the client retains ¹ _____ dollars."

Client: "Under C, the insurer pays ² _____ dollars."

Broker: "Under D, the client retains ³ _____ dollars."

Client: "Under D, the insurer pays ⁴ _____ dollars."

ANSWERS / EXPLANATIONS: PAGE 94

1. 500 | 2. 5,500 | 3. 2,000 | 4. 4,000

Rehearse with a fixed script

1. Read turns 1-10 with the \$8,000 loss assumption and both retained amounts stated clearly.
2. Swap roles for turns 11-20; separate the arithmetic example from a binding instruction.
3. Complete the C/D transfer and check that each insurer payment plus retained share equals \$6,000.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Record a discrepancy without labeling the customer

A Read the situation

Make an objective specialist referral that separates observed records, suspicion, and findings.

06

Claims analyst Iris notices that invoice reference P71 from the same repair vendor appears in files Q2 and Q4. The team has not established whether this reflects a duplicate upload, an administrative error, or another explanation. Neither the vendor nor the customer has been found to have acted dishonestly. A draft internal note calls the customer fraudulent. Review lead Hassan will correct that language and refer the documented discrepancy through the approved Special Investigation Unit (SIU) route. Original records must be preserved, access restricted to authorized recipients, and no unsupported allegation added to customer correspondence.

PEOPLE / Iris: Claims analyst | Hassan: Review lead

OBJECTIVE LANGUAGE PROTECTS THE INVESTIGATION AND THE PERSON

A forceful label can sound efficient inside a busy team, but it can turn an untested concern into an assumed fact. Describe what is observed, identify alternative explanations that remain open, and let the authorized review establish its findings.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What has actually been observed?

- | | |
|--|---|
| A The vendor has been convicted. | B The invoice has been proved altered. |
| C Invoice reference P71 appears in Q2 and Q4 for the same vendor. | D The customer has admitted fraud. |

2. What remains unknown?

- | | |
|---|--|
| A The invoice reference | B The existence of the draft accusation |
| C The explanation for the repeated reference | D The two file identifiers |

3. What should happen to the original records?

- | | |
|--|---|
| A Replace them with an accusation. | B Share them with unrelated colleagues. |
| C Preserve them and restrict access to authorized recipients. | D Delete them after making the referral. |

Answers and explanations: page 95.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

Special Investigation Unit (SIU)

A specialist function reviewing suspected insurance fraud under the applicable process.

IN USE refer to the SIU

fraud indicator

Information that may warrant examination for possible fraud.

IN USE document a fraud indicator

suspicion

A concern that has not been established as a finding.

IN USE distinguish suspicion from proof

allegation

An assertion of wrongdoing that requires appropriate evaluation.

IN USE avoid an unsupported allegation

verified finding

A conclusion established through the relevant evidential review.

IN USE record a verified finding

discrepancy

A difference or inconsistency requiring explanation.

IN USE describe a discrepancy

duplicate record

A second copy or entry that may repeat existing information.

IN USE identify a duplicate record

invoice reference

An identifier assigned to an invoice.

IN USE compare the invoice reference

source document

The original or originating record supporting an entry.

IN USE preserve the source document

administrative error

A mistake in handling or recording information.

IN USE examine a possible administrative error

referral criteria

The conditions for sending a matter to a specialist review.

IN USE apply referral criteria

referral summary

A concise account of the concern and supporting evidence.

IN USE prepare a referral summary

Precision check

A repeated invoice reference may justify a closer look, but it does not establish who caused it or why. A referral is an action taken because a concern requires review; it is not a finding of fraud.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

evidence preservation

Retention of relevant material without improper alteration or destruction.

IN USE maintain evidence preservation

access restriction

A limit on who may view or use information.

IN USE apply access restrictions

authorized recipient

A person permitted to receive the relevant information.

IN USE identify authorized recipients

case note

A record of an event, observation, or action in a case file.

IN USE correct a case note

source attribution

Identification of where information or an assertion originated.

IN USE include source attribution

chronological record

An account organized by the timing of events or entries.

IN USE maintain a chronological record

corroboration

Additional evidence supporting a statement or interpretation.

IN USE seek appropriate corroboration

alternative explanation

Another possible account of the observed information.

IN USE retain an alternative explanation

investigation status

The current stage of an authorized examination.

IN USE report investigation status

need-to-know access

Access limited to those requiring the information for their authorized role.

IN USE maintain need-to-know access

neutral wording

Language describing facts without an unsupported judgment.

IN USE use neutral wording

review conclusion

The outcome established by the relevant review.

IN USE distinguish the review conclusion

Precision check

Correct the accusatory note through the applicable traceable process rather than erase the record of what was written. Share the evidence only through authorized channels. This exercise provides no investigative tactics or fraud-detection threshold.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE OBSERVATION

"Invoice P71 appears in both Q2 and Q4 for the same vendor."

REMOVE AN UNSUPPORTED LABEL

"Do not describe the customer as fraudulent."

PRESERVE THE SOURCE

"Retain the original documents and their references."

LIMIT THE MEANING

"Referral is not a finding of fraud."

SEPARATE OBSERVATION AND CONCLUSION

"We have not established the explanation."

KEEP ALTERNATIVES OPEN

"A duplicate upload or administrative error remains possible."

NAME THE NEXT STEP

"Refer the discrepancy through the approved SIU route."

USE TRACEABLE CORRECTION

"Correct the case note without concealing its history."

06

Appears in both

Reports a record comparison without explaining its cause.

May warrant review

Indicates a reason to examine, not an established offense.

Fraudulent

An accusatory conclusion unsupported by these facts.

Phrases you can actually use

C Notice the language / 2 of 2

AVOID ATTRIBUTING INTENT

"We do not know who caused the repeated entry or why."

RESTRICT DISTRIBUTION

"Send the material only to authorized recipients."

REPORT THE STAGE

"The concern is awaiting specialist review."

PRESERVE ROLE BOUNDARIES

"Let the authorized reviewers establish the findings."

SPECIFY THE EVIDENCE

"Include the two file references and the invoice identifier."

KEEP CUSTOMER COMMUNICATION ACCURATE

"Do not insert an unsupported allegation into correspondence."

AVOID AUTOMATIC DENIAL

"This referral does not itself determine coverage or payment."

CLOSE OBJECTIVELY

"Record the observed discrepancy, open questions, and referral status."

06

Remains possible

Preserves an alternative without claiming it is the explanation.

Referred versus proven

An action status differs from an evidential conclusion.

Authorized recipients

Limits access by role rather than curiosity or convenience.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which note is appropriate?

- A** P71 appears in Q2 and Q4; explanation unconfirmed; referred through the approved SIU route.
- B** The customer is fraudulent because two references match.
- C** Delete Q4 to remove the discrepancy.
- D** Every repeated invoice proves intentional deception.

2. Which statement confuses referral with a finding?

- A** SIU referral proves that fraud occurred.
- B** The cause of the repetition is unconfirmed.
- C** Original records must be preserved.
- D** Access is limited to authorized recipients.

3. What should the team do with the accusatory draft note?

- A** Treat the accusation as evidence of itself.
- B** Correct it through the traceable process and preserve relevant history.
- C** Conceal that it was ever written.
- D** Copy it into every customer letter.

4. Which explanation is established?

- A** A confirmed duplicate upload
- B** None of the proposed explanations is yet established.
- C** A deliberate false claim
- D** A vendor conspiracy

Answers and explanations: [page 95](#).

Record a discrepancy without labeling the customer

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

06

WORD + PHRASE BANK

case note / suspicion / investigation status / review conclusion / discrepancy / alternative explanation / allegation / Special Investigation Unit / source document / need-to-know access

- 01 **Iris:** Invoice P71 appears in both Q2 and Q4 for the same vendor. My draft note calls the customer fraudulent, but that overstates what we know.
- 02 **Hassan:** Replace the label with the ¹ _____ itself. We have identified a repeated reference, not established who caused it or why. The note must distinguish the observed records from an accusation about the person.
- 03 **Iris:** A duplicate upload or administrative error could explain it. We have not confirmed either explanation, so neither should be presented as the answer.
- 04 **Hassan:** Keep each ² _____ open. Neutral language is not a conclusion that nothing is wrong. It is an accurate statement that the explanation still requires authorized review.
- 05 **Iris:** Should I send the files through our specialist referral route? I want the concern examined without implying that I have completed an investigation.
- 06 **Hassan:** Use the approved ³ _____ route under the applicable criteria. Include the factual observation and references. Referral does not by itself establish fraud, decide coverage, or authorize a particular claim outcome.
- 07 **Iris:** I will include the two file identifiers, the invoice reference, and the vendor name from the records. The documents themselves should remain intact.
- 08 **Hassan:** Preserve each ⁴ _____ and its context. Do not replace an original with a cleaned-up version that hides how the discrepancy appeared. Reviewers need traceable evidence, not just our description.
- 09 **Iris:** The accusatory draft is already saved. How do I correct it without leaving the label in place or hiding the change?
- 10 **Hassan:** Correct the ⁵ _____ through the applicable process. Preserve the relevant history and make the corrected factual statement clear. We should not leave the accusation unqualified or erase the audit trail.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 55.

- 11 **Iris:** A colleague wants both files sent to the whole claims team. That feels too broad for an unresolved discrepancy.
- 12 **Hassan:** Maintain ⁶ _____. Share only with authorized recipients who need the information for their role. An unresolved concern is not a reason to distribute customer information or an unsupported allegation across unrelated teams.
- 13 **Iris:** I will also check the proposed customer correspondence. It must not repeat the draft label or suggest that specialist referral is proof of wrongdoing.
- 14 **Hassan:** Correct. Avoid an unsupported ⁷ _____. Customer communication must follow the authorized process and actual status. Our language task is to preserve that distinction, not invent investigative disclosures or claim decisions.
- 15 **Iris:** The referral summary should say what we observed, what remains unknown, and what action we took. It should not claim that fraud has been verified.
- 16 **Hassan:** That separates ⁸ _____ from a finding. A strong referral can be precise and useful without sounding accusatory. Its value comes from traceable facts and clear questions, not forceful adjectives.
- 17 **Iris:** When another team asks whether the customer has been cleared or found responsible, I should report only the actual review stage.
- 18 **Hassan:** Yes. State the ⁹ _____ available through the authorized route. Do not invent either an adverse finding or an exoneration simply because someone wants a short binary answer before the review is complete.
- 19 **Iris:** I will correct the note, preserve both records, restrict access, and submit the documented discrepancy. The explanation remains unconfirmed.
- 20 **Hassan:** Good. Any eventual ¹⁰ _____ needs its actual basis. Until then, keep observation, possible explanations, referral action, and decision status separate in every record you prepare.

06

ANSWERS / EXPLANATIONS: PAGE 96

1. discrepancy | 2. alternative explanation | 3. Special Investigation Unit | 4. source document | 5. case note | 6. need-to-know access | 7. allegation | 8. suspicion | 9. investigation status | 10. review conclusion

Complete an objective referral

F Say it

Receipt R88 appears in files H3 and H7. Its explanation is unconfirmed. The matter has been referred for specialist review; no fraud finding exists.

Complete the four gaps. Use each bank entry once.

06

WORD + PHRASE BANK

review / R88 / unconfirmed / H7

Analyst: "The repeated receipt reference is ¹ _____."

Reviewer: "It appears in H3 and ² _____."

Analyst: "The explanation remains ³ _____."

Reviewer: "The matter is referred for specialist ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 96

1. R88 | 2. H7 | 3. unconfirmed | 4. review

Rehearse with a fixed script

1. Read turns 1-10 and distinguish the repeated reference from its unconfirmed explanation.
2. Swap roles for turns 11-20; use the neutral observation rather than the accusatory label.
3. Complete the R88 transfer and check both file references and the review status.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Frequency and severity changes multiply

A Read the situation

Explain claim-cost movement using consistent exposure, separate drivers, and a limited pricing conclusion.

Actuarial analyst Pavel compares two fully developed fictional annual claim cohorts with the same 1,000 policy-years of exposure and a consistent claim-count and cost basis. Year 1 has 100 claims averaging \$2,000 each. Year 2 has 120 claims averaging \$2,200 each. The totals are \$200,000 and \$264,000. The comparison excludes expenses, reinsurance, investment income, and other pricing components. Manager Farah drafts a note saying costs rose 30%, adding the 20% claim-frequency increase to the 10% severity increase. Pavel must correct the combined change to 32% and explain why this historical comparison does not itself establish a 32% premium increase.

PEOPLE / Farah: Portfolio manager | Pavel: Actuarial analyst

07

CORRECT ARITHMETIC WHILE PROTECTING THE DECISION CONTEXT

A manager may compress a technical result into an apparently simple price instruction. Show the calculation in ordinary language, name the exposure basis, and separate historical claim experience from a complete forward-looking price recommendation.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is held constant between the cohorts?

- | | |
|-------------------------------|--|
| A The claim count | B The average cost per claim |
| C The total claim cost | D Exposure at 1,000 policy-years and the stated reporting basis |

2. What is Year 2's total claim cost?

- | | |
|--------------------|--------------------|
| A \$264,000 | B \$240,000 |
| C \$220,000 | D \$200,000 |

3. Why is the combined increase not 30%?

- | | |
|--|--|
| A The frequency and severity factors multiply rather than simply add. | B The exposure doubled. |
| C There were no claims in Year 1. | D Expenses are included in the average. |

[Answers and explanations: page 97.](#)

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

actuary

A professional analyzing financial consequences of risk using relevant methods and standards.

IN USE consult the actuary

claim frequency

The number of claims per defined unit of exposure.

IN USE calculate claim frequency

claim severity

The average claim cost on a stated measurement basis.

IN USE estimate claim severity

policy-year

An exposure unit equivalent to one policy in force for one year on the defined basis.

IN USE measure exposure in policy-years

exposure base

The quantity used to relate losses or claims to the business at risk.

IN USE define the exposure base

pure premium

Claim cost per unit of exposure on the stated basis, before other specified components.

IN USE calculate pure premium

loss cost

A measure of claim cost on a specified basis, distinct from a complete charged premium.

IN USE estimate loss cost

cohort

A group of policies or claims defined for a common analysis.

IN USE compare claim cohorts

fully developed claims

Claims whose evaluated costs are treated as complete on the stated analysis basis.

IN USE compare fully developed claims

development factor

A factor used to estimate change from reported to a later claim-cost stage.

IN USE assess a development factor

trend

An estimated pattern of change in cost or frequency over time.

IN USE analyze claim-cost trend

credibility

The weight assigned to information based on its relevance and reliability for estimation.

IN USE assess statistical credibility

Precision check

Frequency rises from 0.10 to 0.12 claims per policy-year: a 20% relative increase. Severity rises from \$2,000 to \$2,200: 10%. Their combined factor is $1.20 \times 1.10 = 1.32$, a 32% increase.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

experience period

The period from which observed claims or exposure are drawn.

IN USE define the experience period

prospective period

The future period for which an estimate is intended.

IN USE specify the prospective period

rate indication

An actuarial estimate informing a proposed rate level under stated assumptions.

IN USE develop a rate indication

expense provision

An allowance for defined expense components in an estimate or price.

IN USE include an expense provision

reinsurance cost

The cost associated with transferring specified insurance risk to another insurer.

IN USE account for reinsurance cost

loss ratio

Loss amounts divided by the specified premium measure on a stated basis.

IN USE define the loss ratio

combined ratio

A measure combining defined loss and expense ratios under the stated convention.

IN USE interpret the combined ratio

multiplicative effect

A combined change obtained by multiplying relative factors.

IN USE explain the multiplicative effect

percentage-point change

The arithmetic difference between two percentages.

IN USE distinguish a percentage-point change

sensitivity test

An evaluation of how results vary with changed assumptions.

IN USE conduct a sensitivity test

model assumption

A condition or value adopted in an analytical model.

IN USE disclose a model assumption

pricing recommendation

A proposed price decision based on the relevant analysis and constraints.

IN USE support a pricing recommendation

Precision check

Pure premium on the stated claim-cost basis rises from \$200 to \$264 per policy-year. This is not the charged premium or a complete forward-looking rate indication. Other pricing components and assumptions remain outside the example.

Phrases you can actually use

C Notice the language / 1 of 2

DEFINE THE POPULATION

"Both cohorts contain 1,000 policy-years of exposure."

NAME THE RATE

"Frequency rose from 0.10 to 0.12 claims per policy-year."

DEFINE SEVERITY

"Average claim cost rose from \$2,000 to \$2,200."

COMBINE THE FACTORS

"Multiply 1.20 by 1.10 to get 1.32."

STATE THE COUNT CHANGE

"Claims increased from 100 to 120."

QUANTIFY THE RELATIVE CHANGE

"That is a 20% frequency increase."

QUANTIFY THE SECOND DRIVER

"Severity increased by 10%."

CORRECT THE HEADLINE

"Total claim cost rose 32%, not 30%."

Per policy-year

Supplies the exposure denominator needed for a frequency measure.

Increased by versus increased to

Distinguishes the amount of change from the new level.

Relative increase

Compares the change with the starting value.

Phrases you can actually use

C Notice the language / 2 of 2

SHOW THE AMOUNTS

"Costs increased from \$200,000 to \$264,000."

KEEP THE BASIS CONSISTENT

"The claim-count and cost bases are the same."

AVOID A PRICE INSTRUCTION

"This does not establish a 32% premium increase."

ASK FOR THE FULL ANALYSIS

"A pricing recommendation needs the relevant prospective assumptions."

STATE THE EXPOSURE-NORMALIZED RESULT

"Pure premium rose from \$200 to \$264 per policy-year."

NAME THE EXCLUSIONS

"Expenses, reinsurance, and other pricing components are excluded."

SEPARATE PAST AND FUTURE

"Historical experience is an input, not a complete forecast."

CLOSE WITH THE CALCULATION

"Show the exposure, frequency, severity, and combined factor together."

Multiply versus add

Combined proportional drivers produce an interaction effect.

On this basis

Limits the claim-cost measure to the supplied definitions and exclusions.

Indication versus instruction

Analysis informs a decision; one historical metric does not dictate it.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. What is Year 1's frequency?

- A** 0.10 claims per policy-year
- B** 10 claims per policy-year
- C** \$2,000 per claim
- D** 100 policy-years per claim

2. What is the relative total-cost increase?

- A** 32%
- B** 30%
- C** 20%
- D** 10%

3. What is Year 2's pure premium on this basis?

- A** \$120 per policy-year
- B** \$1,000 per claim
- C** \$264 per policy-year
- D** \$2,200 per policy-year

4. Which price conclusion is supported?

- A** Historical averages guarantee future losses.
- B** This historical comparison alone does not determine a premium change.
- C** Every customer must receive exactly a 32% increase.
- D** Expenses are automatically zero because excluded.

[Answers and explanations: page 97.](#)

Frequency and severity changes multiply

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

pricing recommendation / Fully developed claims / pure premium / rate indication / policy-years / Claim severity / multiplicative effect / experience period / expense provision / Claim frequency

07

- 01 **Farah:** My summary says claim costs rose thirty percent: frequency increased twenty percent and severity ten percent. Is that the correct combined figure?
- 02 **Pavel:** It is thirty-two percent. ¹ _____ rose from 0.10 to 0.12 per policy-year. Severity also increased, so we multiply the two relative factors rather than simply add their percentage changes.
- 03 **Farah:** Before we show the calculation, confirm that both groups have the same exposure. Otherwise claim counts alone could give a misleading comparison.
- 04 **Pavel:** Each has one thousand ² _____. The claim-count and cost bases are also consistent. That lets us compare the supplied frequency figures without attributing an exposure increase to a change in underlying claim frequency.
- 05 **Farah:** Year 1 has a hundred claims at two thousand dollars each. Year 2 has a hundred twenty at twenty-two hundred each.
- 06 **Pavel:** Correct. ³ _____ increases ten percent. Total claim cost therefore moves from two hundred thousand to two hundred sixty-four thousand dollars. The difference is sixty-four thousand, not sixty thousand.
- 07 **Farah:** So the total-cost ratio is 264,000 divided by 200,000, or 1.32. Subtracting one gives the thirty-two-percent relative increase.
- 08 **Pavel:** Exactly. The ⁴ _____ is 1.20 times 1.10. More claims also experience the higher average cost. Adding twenty and ten omits that interaction and understates the combined change.
- 09 **Farah:** Can we express the result per exposure unit as well? The portfolio team is used to seeing the amount per policy-year.
- 10 **Pavel:** On this basis, ⁵ _____ rises from two hundred to two hundred sixty-four dollars per policy-year. Keep the definition attached: this is the stated claim-cost measure, not the full premium charged to a customer.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 64.

- 11 **Farah:** The pricing team will ask whether thirty-two percent is our proposed rate increase. I need to separate the finding from that recommendation.
- 12 **Pavel:** It does not establish a complete ⁶ _____. Expenses, reinsurance, and other pricing components are excluded. We also need the relevant prospective assumptions rather than assume that this historical change dictates the next year's price.
- 13 **Farah:** The case calls both cohorts fully developed. That avoids comparing one mature group with another group whose claims have barely been reported.
- 14 **Pavel:** Yes. ⁷ _____ are an explicit assumption here. In another dataset, differences in development or reporting maturity would require attention. We must not carry this convenient assumption into a real portfolio without evidence.
- 15 **Farah:** These historical annual groups are not automatically a forecast of the year we are about to price.
- 16 **Pavel:** Name the ⁸ _____ and distinguish it from the prospective period. Historical experience can inform a forecast, but it does not guarantee future frequency, severity, or the mix of business.
- 17 **Farah:** I will label the excluded costs explicitly. An empty expense line could otherwise make this look like a complete price calculation.
- 18 **Pavel:** Correct. An ⁹ _____ and other relevant components need their own basis in a complete analysis. A clean arithmetic example should not silently become a model with missing costs treated as nonexistent.
- 19 **Farah:** The revised slide will show equal exposure, separate frequency and severity changes, the multiplying factors, and the thirty-two-percent total-cost increase.
- 20 **Pavel:** Good. Keep any ¹⁰ _____ separate until the broader work supports it. This correction improves the evidence presented to the decision-makers without claiming that one historical percentage answers every pricing question.

07

ANSWERS / EXPLANATIONS: PAGE 98

1. Claim frequency | 2. policy-years | 3. Claim severity | 4. multiplicative effect | 5. pure premium | 6. rate indication | 7. Fully developed claims | 8. experience period | 9. expense provision | 10. pricing recommendation

Combine another pair of claim drivers

F Say it

Two cohorts have the same exposure. Frequency increases 10% and severity increases 20%. Starting total claim cost is \$100,000; all other calculation conditions are held constant.

Complete the four gaps. Use each bank entry once.

07

WORD + PHRASE BANK

1.20 / 1.10 / 132,000 / 1.32

Analyst: "The frequency factor is ¹ _____."

Manager: "The severity factor is ² _____."

Analyst: "The combined factor is ³ _____."

Manager: "The resulting claim-cost total is ⁴ _____ dollars."

ANSWERS / EXPLANATIONS: PAGE 98

1. 1.10 | 2. 1.20 | 3. 1.32 | 4. 132,000

Rehearse with a fixed script

1. Read turns 1-10, saying the exposure denominator and multiplying 1.20 by 1.10 aloud.
2. Swap roles for turns 11-20; contrast historical claim cost with a prospective price.
3. Complete the second-cohort transfer and check its factors and \$132,000 total.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Answer the fee question instead of sending another acknowledgment

A Read the situation

Restate a complaint accurately, investigate its actual basis, and provide a substantive status without inventing a remedy.

Policyholder Elena complains about a \$30 charge labeled SF30 on an invoice dated 5 August. Her annual quote shows \$1,200, and she asks why this separate charge appears and where it was disclosed. A previous reply merely thanked her for the feedback. Complaint handler Marco has not yet established the fee basis, whether it was properly disclosed, or whether it should be corrected or refunded. Marco will obtain the relevant billing and disclosure records and provide an update Friday at 14:00. The complaint remains open; the update appointment is neither a legal deadline nor a guaranteed refund date.

PEOPLE / Elena: Policyholder | Marco: Complaint handler

08

ACKNOWLEDGE THE EXACT ISSUE BEFORE EXPLAINING THE PROCESS

A polite generic reply can feel dismissive when it never names the question. Restate the charge, document, and requested explanation. Recognize the earlier communication failure while keeping any decision about validity, correction, or refund tied to the evidence.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What specific charge is disputed?

- | | |
|---|--|
| A A charge on an unknown document | B \$30 labeled SF30 on the 5 August invoice |
| C The entire \$1,200 annual quote without a fee question | D A confirmed \$300 refund |

2. What did the earlier reply fail to address?

- | | |
|---|---|
| A The scheduled renewal date alone | B The fee basis and where it was disclosed |
| C Whether Elena had submitted feedback | D The quoted annual premium amount alone |

3. What is Marco's commitment?

- | | |
|---|--|
| A Declare the fee lawful without review | B Close the complaint immediately |
| C Obtain relevant records and update Elena Friday at 14:00 | D Guarantee a refund by Friday |

Answers and explanations: page 99.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

market conduct

How insurance business is carried out in dealings with customers and the market.

IN USE review market conduct

complaint intake

Receipt and recording of a customer's expression of dissatisfaction.

IN USE complete complaint intake

complaint register

A record of complaints, issues, actions, and status.

IN USE update the complaint register

substantive response

A reply addressing the actual issues raised rather than merely confirming receipt.

IN USE provide a substantive response

generic acknowledgment

A nonspecific confirmation that a communication was received.

IN USE distinguish a generic acknowledgment

fee basis

The reason and applicable authority or terms supporting a charge.

IN USE establish the fee basis

billing code

An identifier used to classify an invoice item.

IN USE trace the billing code

invoice line

A separate entry showing a charge or other billing item.

IN USE examine the invoice line

disclosure record

Evidence of information provided about terms, charges, or other matters.

IN USE retrieve the disclosure record

quote comparison

Review of an invoice or proposal against the quoted terms.

IN USE conduct a quote comparison

billing reconciliation

Comparison and explanation of differences between billing records.

IN USE complete billing reconciliation

refund

Money returned following an applicable decision or correction.

IN USE confirm a refund decision

Precision check

The SF30 label identifies the invoice item, not the legitimacy or disclosure of the fee. A \$1,200 quote and a separate \$30 line raise a question that requires the applicable records; they do not settle it.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

credit adjustment

A recorded reduction or offset to an account balance.

IN USE process a credit adjustment

remedy

An action addressing an established problem under the applicable process.

IN USE identify the appropriate remedy

complaint owner

The person responsible for coordinating complaint handling.

IN USE assign a complaint owner

response commitment

An undertaking to communicate by a specified point.

IN USE meet the response commitment

resolution status

The recorded stage of addressing the complaint's issues.

IN USE report resolution status

escalation

Raising an issue to the relevant higher or specialist review level.

IN USE arrange complaint escalation

customer outcome

The actual result experienced by the customer.

IN USE assess the customer outcome

fair treatment

Handling customers consistently with applicable obligations and relevant circumstances.

IN USE support fair treatment

record retention

Keeping records for the applicable purpose and required period.

IN USE follow record-retention requirements

regulatory inquiry

A request for information or explanation from the relevant authority.

IN USE respond to a regulatory inquiry

complaint rights

Applicable options for raising dissatisfaction or seeking further review.

IN USE explain complaint rights

final response

A communication stating the completed position under the applicable complaint process.

IN USE distinguish a final response

Precision check

A response commitment is not automatically a regulatory deadline or a refund promise. Keep the complaint open until its actual handling status supports closure, and preserve any applicable further-review or complaint rights.

Phrases you can actually use

C Notice the language / 1 of 2

RESTATE THE ISSUE

"You are asking why SF30 adds \$30 and where it was disclosed."

ACKNOWLEDGE THE EARLIER FAILURE

"Our previous reply did not answer that question."

NAME THE MISSING EVIDENCE

"I need the billing basis and disclosure records."

AVOID THE OPPOSITE PROMISE

"I have not established that a refund is due either."

IDENTIFY THE DOCUMENT

"The charge appears on the invoice dated 5 August."

SEPARATE RECEIPT AND RESOLUTION

"Thanking you for feedback did not resolve the issue."

AVOID PREMATURE VALIDATION

"I have not established that the charge is correct."

CHECK THE QUOTE

"We will compare the invoice with the \$1,200 annual quote."

08

Why and where

Identify two questions: the charge's basis and its disclosure.

Did not answer

Acknowledges the communication failure without inventing the fee outcome.

Not established

Keeps both validation and refund decisions open.

Phrases you can actually use

C Notice the language / 2 of 2

STATE OWNERSHIP

"I will coordinate the review of this complaint."

LIMIT THE COMMITMENT

"That is a response time, not a guaranteed refund date."

EXPLAIN AN UNRESOLVED REVIEW

"If records are still missing, I will name what remains outstanding."

PRESERVE RIGHTS

"We will explain the applicable further-review options."

GIVE THE NEXT CONTACT

"I will update you Friday at 14:00."

KEEP THE FILE ACCURATE

"The complaint remains open."

OFFER A SUBSTANTIVE REPLY

"The response will address the fee basis and disclosure question."

CLOSE RESPECTFULLY

"You should not have to infer an answer from another generic acknowledgment."

08

Compare with

Requests evidence reconciliation rather than assuming either document is decisive alone.

Remains open

Describes complaint status while substantive questions remain unresolved.

Update versus final response

An interim communication can be useful without being the completed position.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which opening addresses Elena's complaint?

- A** Every fee is valid because it has a code.
- B** Your refund is guaranteed despite our incomplete review.
- C** You are asking why SF30 adds \$30 and where it was disclosed; our earlier reply did not answer that.
- D** Thank you again for your valuable feedback.

2. What does SF30 establish by itself?

- A** That the complaint is closed
- B** The billing item identifier
- C** That the fee was properly disclosed
- D** That a refund is definitely due

3. What should Marco do if the records remain incomplete on Friday?

- A** Provide the promised update and specify what remains unresolved.
- B** Miss the update without explanation.
- C** Close the complaint because time has passed.
- D** Pretend a refund has been approved.

4. Which closing statement is premature?

- A** The complaint is resolved because we sent a generic thank-you.
- B** The fee basis is still under review.
- C** The disclosure record has not yet been established.
- D** Applicable review options need accurate explanation.

Answers and explanations: page 99.

Answer the fee question instead of sending another acknowledgment

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

substantive response / response commitment / disclosure record / billing code / complaint owner / refund / remedy / fee basis / complaint rights / complaint register

08

- 01 **Elena:** I asked why the August fifth invoice has a thirty-dollar SF30 charge when my annual quote shows twelve hundred. Your reply did not explain it.
- 02 **Marco:** You need the ¹ _____ and where the charge was disclosed. Our previous reply did not answer either question. I will address those issues specifically instead of sending another general thank-you.
- 03 **Elena:** The code means nothing to me. Is it part of the premium or a separate item?
- 04 **Marco:** SF30 is a ² _____. It identifies the item, but it does not by itself establish why the charge applies. I need to trace the relevant billing and terms records before explaining its basis.
- 05 **Elena:** When was it disclosed? Please do not say it was probably somewhere in the paperwork.
- 06 **Marco:** I will obtain the ³ _____ and compare it with the quoted terms and invoice. I have not yet established whether the charge was properly disclosed, so I should not make that assertion.
- 07 **Elena:** Does the difference mean that the fee was definitely wrong? I would like a refund if I was charged something I should not have paid.
- 08 **Marco:** We have not reached a ⁴ _____ decision. I should not promise one before the review, just as I should not claim the charge is correct. The records need to support the actual outcome.
- 09 **Elena:** Several people replied, but nobody answered the fee question. Who owns it now?
- 10 **Marco:** I will be the ⁵ _____ coordinating this review. I will request the billing basis and disclosure evidence and keep the specific charge, quote, and questions connected in the file.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 73.

- 11 **Elena:** Can you tell me when I will hear from you? I do not want another week of wondering whether my message has disappeared.
- 12 **Marco:** I will make a ⁶ _____ for Friday at fourteen hundred. If the review remains incomplete, I will still update you and identify the outstanding records rather than leave you without contact.
- 13 **Elena:** If it was an error, should I expect a refund by Friday? What exactly does that appointment mean?
- 14 **Marco:** Friday is an update, not a guaranteed ⁷ _____ date. Any correction or refund must follow the supported decision and applicable process. I cannot promise an outcome or payment timing that has not been established.
- 15 **Elena:** Thank you. Please keep the complaint open until you address the charge, not just log my call.
- 16 **Marco:** It remains open in the ⁸ _____. We should distinguish receipt, investigation, response, and resolution. A polite acknowledgment is useful, but it does not answer the charge question or finish the review.
- 17 **Elena:** The eventual reply needs to say why the charge appears and where it was disclosed, with enough detail for me to check the explanation.
- 18 **Marco:** That requires a ⁹ _____. We will connect the position to the relevant evidence and explain any remaining issue or applicable next step. Another general expression of appreciation would not meet that need.
- 19 **Elena:** Please also explain what I can do if I still disagree with the result. I do not want to lose that option while waiting.
- 20 **Marco:** We will explain the applicable ¹⁰ _____ and further-review routes accurately. This status conversation does not remove them or invent a universal deadline. For now, the complaint remains open and I will update you Friday.

08

ANSWERS / EXPLANATIONS: PAGE 100

1. fee basis | 2. billing code | 3. disclosure record | 4. refund | 5. complaint owner | 6. response commitment | 7. remedy | 8. complaint register | 9. substantive response | 10. complaint rights

Replace another generic acknowledgment

F Say it

A policyholder asks about a \$45 charge coded AD45 on a 9 September invoice. Its basis and disclosure remain unconfirmed. Lina will update the policyholder Monday at 15:00; no refund decision exists.

Complete the four gaps. Use each bank entry once.

08

WORD + PHRASE BANK

Lina / AD45 / Monday at 15:00 / 45

Handler: "The disputed amount is ¹ _____ dollars."

Policyholder: "The invoice code is ² _____."

Handler: "The review contact is ³ _____."

Policyholder: "The promised update is ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 100

1. 45 | 2. AD45 | 3. Lina | 4. Monday at 15:00

Rehearse with a fixed script

1. Read turns 1-10, identifying both the fee-basis and disclosure questions.
2. Swap roles for turns 11-20; distinguish an update, a substantive response, and a remedy.
3. Complete the AD45 transfer and check amount, code, contact, and appointment.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

The rate stayed; the payroll changed

E More workplace conversations / 1-10

Explain an audited premium by separating exposure, rate, total premium, and balance due.

Fictional annual policy: premium = eligible payroll / 100 x \$2.40. Estimated payroll \$250,000; \$6,000 deposit premium fully paid. Audited eligible payroll \$300,000. One unchanged classification and rate; no minimum, modifier, tax, fee, or other adjustment. The figures are supplied, not real rating advice.

PEOPLE / Arjun: Business owner | Mei: Premium-audit specialist

Use each bank entry once, without changing its form. Answers follow turn 20.

09

WORD + PHRASE BANK

deposit premium / audit worksheet / rate per hundred / reconciliation request / exposure base / additional premium

- 01 **Arjun:** The audit statement asks for another twelve hundred dollars. I thought our six-thousand-dollar premium was already paid in full. Has the rate changed?
- 02 **Mei:** The ¹ _____ is still two dollars forty. The estimated payroll changed to the audited amount, which changes the calculation.
- 03 **Arjun:** We estimated two hundred fifty thousand and ended at three hundred thousand. I want to see how that becomes an insurance charge.
- 04 **Mei:** The ² _____ is eligible payroll here. Divide three hundred thousand by one hundred, then multiply by two dollars forty.
- 05 **Arjun:** That gives seventy-two hundred dollars for the whole policy period, not seventy-two hundred in addition to what we paid.
- 06 **Mei:** Correct. The six thousand was your ³ _____. Subtract it from the audited total to find the remaining amount.
- 07 **Arjun:** Seventy-two hundred minus six thousand leaves twelve hundred. The statement's balance is right under those supplied figures, but the heading confused me.
- 08 **Mei:** I can label it ⁴ _____ and show the calculation beside it. That distinguishes the adjustment from the complete annual premium.
- 09 **Arjun:** Is this a penalty for reporting a higher payroll, or a charge for extra claims? We are not discussing claim costs here.
- 10 **Mei:** Neither is included in this exercise. This adjustment reconciles the estimated and audited exposure under the stated formula. It does not introduce a penalty or claims charge.

The conversation, continued

E More workplace conversations / 11-20

Continue with the word bank on page 76.

- 11 **Arjun:** Payroll is twenty percent above the estimate, and the total premium is twenty percent higher. I should not call that a twenty-percent rate increase.
- 12 **Mei:** Exactly. The rate is unchanged. The increase comes from the exposure amount, with every other calculation condition held constant in this example.
- 13 **Arjun:** Our payroll system total is not always the same as eligible payroll for insurance. Where do we check what went into the audit figure?
- 14 **Mei:** Use the ⁵ _____ and supporting records. The supplied three hundred thousand is already eligible payroll; do not substitute another total without reconciling its basis.
- 15 **Arjun:** The worksheet uses one classification. Could I move some wages to another class myself to make the adjustment smaller?
- 16 **Mei:** Any classification question needs the actual operations, applicable rules, records, and authorized review. This arithmetic does not establish eligibility for a different class.
- 17 **Arjun:** If I find a duplicated payroll entry, I should identify that entry and request a correction rather than simply challenge the whole statement.
- 18 **Mei:** Yes. Send a ⁶ _____ through the approved channel, with the specific difference and supporting record. The reviewer can then address the actual issue.
- 19 **Arjun:** For this example, I can explain the same rate, higher eligible payroll, seventy-two-hundred total, six thousand paid, and twelve hundred remaining.
- 20 **Mei:** That is the complete reconciliation. Keep it separate from renewal pricing, claim coverage, and any real dispute deadline, which require their own terms and records.

09

ANSWERS / EXPLANATIONS: PAGE 101

1. rate per hundred | 2. exposure base | 3. deposit premium | 4. additional premium | 5. audit worksheet | 6. reconciliation request

Credit the amount already paid

F Say it in a new situation

Fictional formula: eligible payroll / 100 x \$3.00. Estimated payroll \$150,000; deposit \$4,500 fully paid. Audited eligible payroll \$180,000. The rate and classification are unchanged, with no other adjustments.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

4,500 / payroll / 5,400 / 900

09

Specialist: The audited premium totals ¹ _____ dollars.

Owner: Credit the ² _____ dollars already paid.

Specialist: The additional balance is ³ _____ dollars.

Owner: The changed input is eligible ⁴ _____, not the rate.

ANSWERS / EXPLANATIONS: PAGE 101

1. 5,400 | 2. 4,500 | 3. 900 | 4. payroll

Read, switch, repeat

1. Check the four answers and read the complete exchange aloud.

2. Switch roles. Read it again with the word bank covered.

3. Return to the extended conversation. Read turns 1-10, then switch roles for turns 11-20. Use the corrected expressions.

SOLO PRACTICE

Read both roles. Pause briefly at each change of speaker. Repeat any line that needed an answer check.

Two payments, one deductible

E More workplace conversations / 1-10

Explain a staged property-claim payment without confusing depreciation, cash value, and net payment.

Fictional covered repair: agreed replacement cost \$20,000, depreciation \$5,000, one \$1,000 deductible. Initial payment = replacement cost minus depreciation minus deductible. The full \$5,000 is recoverable after stipulated repair conditions are verified. Assume completed eligible repairs cost \$20,000, sufficient limits, and no other adjustments.

PEOPLE / Carla: Policyholder | Omar: Claims representative

Use each bank entry once, without changing its form. Answers follow turn 20.

10

WORD + PHRASE BANK

actual cash value / supplemental payment / payment ledger / replacement cost / recoverable depreciation / repair documentation

- 01 **Carla:** Your estimate says twenty thousand dollars, but the first payment is fourteen thousand. I need to explain the six-thousand-dollar difference to the contractor.
- 02 **Omar:** The agreed ¹ _____ is twenty thousand. Five thousand is withheld depreciation, and one thousand is your single deductible.
- 03 **Carla:** Then twenty thousand minus five thousand is fifteen thousand. Is that the actual cash value in this supplied calculation?
- 04 **Omar:** Yes. Here ² _____ is fifteen thousand before the deductible. The fourteen thousand is the net initial payment, not that gross valuation.
- 05 **Carla:** I was treating depreciation and the deductible as two amounts that I would permanently lose. The statement calls the depreciation recoverable.
- 06 **Omar:** Under these fictional terms, the ³ _____ is released after the stipulated repair conditions are verified. It is separate from the deductible you retain.
- 07 **Carla:** Assuming the eligible repairs cost the full twenty thousand and those conditions are satisfied, the later payment would be five thousand.
- 08 **Omar:** Correct. The ⁴ _____ would bring insurer payments to nineteen thousand altogether. Your one-thousand-dollar share completes the twenty-thousand repair cost.
- 09 **Carla:** Why is the deductible not subtracted from that second payment too? Someone suggested I should expect only four thousand later.
- 10 **Omar:** Because this example applies one deductible to the loss, not one to every payment. It was already reflected in the fourteen-thousand initial payment.

The conversation, continued

E More workplace conversations / 11-20

Continue with the word bank on page 79.

- 11 **Carla:** So fourteen plus five is nineteen. Subtracting the deductible again would leave me bearing two thousand, contrary to the stated terms.
- 12 **Omar:** Exactly. Check the ⁵ _____ before explaining the remaining amount. Multiple payments do not automatically mean multiple deductibles.
- 13 **Carla:** What if the contractor's final invoice is lower, or the repaired items differ from the agreed scope? Does the same five thousand always follow?
- 14 **Omar:** That would change the supplied facts. The actual wording, eligible expenditure, completed work, and verification would need review before any further amount could be confirmed.
- 15 **Carla:** For our example, the repair conditions are stipulated. For a real file, I would need to provide the required completion evidence through the verified channel.
- 16 **Omar:** Yes. Keep the ⁶ _____ linked to the claim and agreed scope. A contractor's estimate and evidence of completed work serve different purposes.
- 17 **Carla:** Please label the statement clearly: replacement cost, depreciation, cash value before deductible, deductible, initial payment, and possible additional amount.
- 18 **Omar:** I can do that. The labels should let you reconcile the money without suggesting that every figure is a separate charge or an immediate payment.
- 19 **Carla:** And the nineteen thousand is the final insurer total under these assumptions, not nineteen thousand on top of the fourteen already received.
- 20 **Omar:** Correct. Show total entitlement and previous payments separately. That prevents the same confusion on the second statement and keeps the remaining amount understandable.

10

ANSWERS / EXPLANATIONS: PAGE 102

1. replacement cost | 2. actual cash value | 3. recoverable depreciation | 4. supplemental payment | 5. payment ledger | 6. repair documentation

Separate the total from the next payment

F Say it in a new situation

Fictional covered loss: replacement cost \$12,000, recoverable depreciation \$3,000, one \$1,000 deductible. Eligible repairs cost \$12,000 and all stipulated recovery conditions are met. No other adjustment applies. The initial payment deducts both depreciation and deductible.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

11,000 / 3,000 / once / 8,000

10

Representative: The initial net payment is ¹ _____ dollars.

Policyholder: The later depreciation payment is ² _____ dollars.

Representative: Total insurer payments equal ³ _____ dollars.

Policyholder: The deductible is applied ⁴ _____ in this example.

ANSWERS / EXPLANATIONS: PAGE 102

1. 8,000 | 2. 3,000 | 3. 11,000 | 4. once

Read, switch, repeat

1. Check the four answers and read the complete exchange aloud.
2. Switch roles. Read it again with the word bank covered.
3. Return to the extended conversation. Read turns 1-10, then switch roles for turns 11-20. Use the corrected expressions.

SOLO PRACTICE

Read both roles. Pause briefly at each change of speaker. Repeat any line that needed an answer check.

The annual limit has a remaining balance

E More workplace conversations / 1-10

Explain per-occurrence and aggregate limits using a consistent payment sequence.

Fictional liability policy: \$1 million per occurrence, \$2 million annual aggregate. Prior covered indemnity payments of \$1.6 million reduce that aggregate. A new covered occurrence has agreed damages of \$700,000. No deductible, defense-cost erosion, reinstatement, other payments, or other applicable limit. Other insurance is not assessed.

PEOPLE / Nora: Account manager | Felix: Claims specialist

Use each bank entry once, without changing its form. Answers follow turn 20.

WORD + PHRASE BANK

per-occurrence limit / unfunded remainder / exhausted / aggregate erosion / remaining aggregate / aggregate limit

11

- 01 **Nora:** The new damages are seven hundred thousand dollars, below the million-dollar limit. The client expects that full amount from this policy.
- 02 **Felix:** That checks the ¹ _____, but there is also an annual cap. We need the remaining aggregate before stating the available amount.
- 03 **Nora:** The declarations show two million dollars annually. The claims ledger shows one point six million already paid against that same aggregate.
- 04 **Felix:** Then the ² _____ is four hundred thousand. It is not another two million available afresh for this occurrence.
- 05 **Nora:** The new loss is seven hundred thousand, but the remaining annual amount is only four hundred thousand. Which number constrains this payment?
- 06 **Felix:** The ³ _____ does. Under these assumptions, this policy pays four hundred thousand, not seven hundred thousand.
- 07 **Nora:** That leaves three hundred thousand of the agreed damages unpaid by this policy. It is not a new deductible, is it?
- 08 **Felix:** No. It is an ⁴ _____ under this policy's calculation. We have not assessed another policy or arrangement that might respond.
- 09 **Nora:** I should say unpaid by this policy, not automatically uninsured everywhere. Otherwise I would be claiming to have reviewed other protection.
- 10 **Felix:** Exactly. Be precise about which policy and limits the calculation covers. A clear limitation is more useful than a broader conclusion we have not established.

The conversation, continued

E More workplace conversations / 11-20

Continue with the word bank on page 82.

- 11 **Nora:** After the four-hundred-thousand payment, the remaining annual aggregate is zero. The one-million occurrence figure still appears on the declarations.
- 12 **Felix:** But that figure does not replenish the aggregate. The supplied annual cap is ⁵ _____ after this sequence, with no reinstatement provision in the example.
- 13 **Nora:** Could defense costs change this result? Some policies treat them differently, and I do not want to imply one universal arrangement.
- 14 **Felix:** They could under different wording. Here defense-cost erosion is expressly excluded. We must check the actual terms before carrying this calculation into another policy.
- 15 **Nora:** The prior figure is paid indemnity, not simply a list of case reserves. We should keep those categories separate in the ledger.
- 16 **Felix:** Yes. The supplied ⁶ _____ comes from payments charged to this cap. Do not substitute reserves or unrelated payments for that defined amount.
- 17 **Nora:** If I show the timeline, it is two million at the start, four hundred thousand after prior payments, then zero after this occurrence.
- 18 **Felix:** That makes the sequence visible. Label the policy period too, rather than combining payments from unrelated years into one total.
- 19 **Nora:** I will explain the four-hundred-thousand policy payment and three-hundred-thousand remainder, then refer any other-insurance question for its own review.
- 20 **Felix:** Good. The client will see why a loss below the occurrence limit can still exceed the available annual amount, without confusing the shortfall with a deductible.

11

ANSWERS / EXPLANATIONS: PAGE 103

1. per-occurrence limit | 2. remaining aggregate | 3. aggregate limit | 4. unfunded remainder | 5. exhausted | 6. aggregate erosion

Apply both stated caps

F Say it in a new situation

Fictional policy: \$800,000 per occurrence and \$1.5 million annual aggregate. Prior payments against that aggregate total \$1.3 million. New agreed covered damages are \$350,000. No deductible, other erosion, reinstatement, or other applicable limit. Other insurance is not assessed.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

exhausted / 150,000 / deductible / 200,000

Specialist: Before the new payment, the remaining aggregate is
¹ _____ dollars.

Manager: After paying that available amount, this aggregate is
² _____.

Specialist: The amount unpaid by this policy is ³ _____ dollars.

Manager: That shortfall is not a ⁴ _____ under these terms.

ANSWERS / EXPLANATIONS: PAGE 103

1. 200,000 | 2. exhausted | 3. 150,000 | 4. deductible

Read, switch, repeat

1. Check the four answers and read the complete exchange aloud.
2. Switch roles. Read it again with the word bank covered.
3. Return to the extended conversation. Read turns 1-10, then switch roles for turns 11-20. Use the corrected expressions.

SOLO PRACTICE

Read both roles. Pause briefly at each change of speaker. Repeat any line that needed an answer check.

01 Briefing and language checks

Underwriting and Risk Selection

A Briefing checks / page 4

1. Which information is missing?

B. Operating locations and the requested three-year loss history

The application names Atlas and says maintenance, but omits the location details and requested loss history.

2. What does the blank loss-history field establish?

A. The information is missing.

A blank field provides no confirmed loss history and cannot be treated as a no-loss declaration.

3. What is committed for Monday at 11:00?

B. A submission-status update

Lena promises a status update, not underwriting acceptance or the start of coverage.

D Language checks / page 9

1. Which request is most useful?

D. Please provide the operating locations, activity breakdown, and three-year loss records.

The useful request addresses all stated gaps; the alternatives repeat known information or supply an incomplete history.

2. Which statement improperly promises coverage?

A. Cover begins Monday because that is when the update is due.

The Monday commitment concerns information and does not establish coverage or underwriting acceptance.

3. What does supplying all requested records accomplish by itself?

A. It addresses submission completeness, not automatic acceptance.

Information completeness is a review milestone and does not itself determine the underwriting outcome.

4. Why ask for a loss run's valuation date?

A. Reported claim amounts and statuses relate to a stated evaluation date.

The valuation date provides context for the reported claim information rather than a universal final outcome.

01 Conversation answers

Underwriting and Risk Selection

E Dialogue gaps

Pages 10-11

1. business activity. Turn 2. Business activity describes the actual operations; the broad word maintenance does not establish where or how Atlas works.

2. loss history. Turn 4. Loss history records prior losses over a stated period; an empty application field supplies no such evidence.

3. loss run. Turn 6. A loss run supplies claim information for an account and period; its evaluation date and contents still need to be understood.

4. operating location. Turn 8. Operating location identifies where activities occur; a storage address does not by itself establish the work performed there.

5. Submission completeness. Turn 10. Submission completeness concerns whether information is supplied; it is distinct from risk acceptance, quotation, or binding.

6. inception date. Turn 12. The inception date is established by the applicable insurance agreement, not merely by the applicant's preferred start date.

7. binder. Turn 14. A binder provides temporary insurance according to its applicable terms; this information-gathering conversation does not issue one.

8. submission. Turn 16. The submission is the information package being assessed; its status can be updated even when some records remain outstanding.

9. referral. Turn 18. Referral sends the issue to the required decision level; it does not itself mean the risk is accepted or declined.

10. underwriting authority. Turn 20. Underwriting authority defines who can make specified decisions; gathering complete information does not transfer that authority to every participant.

F Transfer conversation

Page 12

1. two

Broker: "The number of missing operating addresses is two."

The supplied application lacks two addresses rather than a complete list of unknown size.

2. loss record

Underwriter: "The requested two-year document is the loss record."

The brief identifies a two-year loss record as the other missing submission item.

3. Priya

Broker: "The person obtaining the information is Priya."

Priya is explicitly responsible for obtaining the missing submission information.

4. Thursday at 10:00

Underwriter: "The status update is due Thursday at 10:00."

Thursday at ten is an information-update commitment, not a confirmed coverage inception.

02 Briefing and language checks

Policy Language and Coverage Interpretation

A Briefing checks / page 13

1. What does the one-page summary show?

C. A \$500,000 property limit and a \$2,000 deductible

The summary contains the stated limit and deductible, not the entire set of policy terms.

2. Which listed document is missing from the current review?

B. Endorsement E17

Evan has not yet retrieved the listed endorsement E17.

3. What is not established by the two amounts alone?

C. Coverage for a particular event

Limits and deductibles describe terms but do not by themselves establish coverage for a specific event.

D Language checks / page 18

1. Which explanation is accurate?

B. The summary shows amounts but does not contain every applicable term.

The summary is condensed, while the missing endorsement and other policy provisions still require review.

2. What should Evan do about E17?

C. Obtain the applicable text and check its form and effective date.

The actual applicable endorsement must be reviewed rather than guessed from its identifier or another policy.

3. Which statement confuses amount and scope?

B. A \$500,000 limit proves that any property loss is insured.

The maximum stated amount does not establish that every cause or type of loss falls within coverage.

4. Why review policy definitions?

D. Familiar words can have specified meanings in the contract.

Contract definitions can narrow or specify ordinary words and must be read with the applicable provisions.

02 Conversation answers

Policy Language and Coverage Interpretation

E Dialogue gaps

Pages 19-20

1. coverage summary. Turn 2. A coverage summary is condensed and may omit provisions needed to understand the actual scope of protection.

2. document set. Turn 4. The document set includes the relevant policy forms and amendments, not merely the convenient summary and declarations.

3. endorsement. Turn 6. An endorsement modifies policy terms and can add, restrict, or otherwise change coverage depending on its wording.

4. insuring agreement. Turn 8. The insuring agreement describes the basic promise, but it operates with the policy's other applicable provisions.

5. definition. Turn 10. A policy definition assigns a specified meaning that may differ from everyday usage and affects interpretation in context.

6. deductible. Turn 12. A deductible specifies an insured share under the terms; it does not create coverage for an otherwise uncovered event.

7. coverage limit. Turn 14. A coverage limit is a maximum subject to terms, not a guaranteed payment or proof that every loss is covered.

8. exclusion. Turn 16. An exclusion removes specified matters from coverage according to its wording; it must be read in the complete applicable context.

9. form number. Turn 18. The form number identifies a document or version, helping confirm that the reviewed wording belongs to the applicable policy set.

10. policy wording. Turn 20. Policy wording establishes the relevant terms; reviewing it is different from making a coverage decision about an unspecified loss.

F Transfer conversation

Page 21

1. 200,000

Client: "The displayed limit is 200,000 dollars."

Two hundred thousand is the stated limit, not a guaranteed payment for every loss.

2. 1,500

Specialist: "The displayed deductible is 1,500 dollars."

Fifteen hundred is the deductible shown in the supplied summary.

3. R4

Client: "The missing endorsement is R4."

R4 is the listed endorsement whose actual text has not been obtained.

4. not

Specialist: "A specific claim is not under decision here."

The case explicitly concerns documents rather than a particular claim decision.

03 Briefing and language checks

Claims Intake and Reserving

03

A Briefing checks / page 22

1. What date is known?

A. Discovery on 6 June

Six June is the discovery date; the brief explicitly leaves the event date unknown.

2. What supporting document is missing?

D. The repair estimate

Photographs and contact details are supplied, but the repair estimate has not arrived.

3. What does an internal reserve not establish?

A. A payment promise to Ben

A reserve is an internal estimate and does not itself approve coverage or promise settlement payment.

D Language checks / page 27

1. Which entry accurately records 6 June?

D. Discovery date

Six June is when Ben noticed the damage; the event's actual date remains unknown.

2. Which follow-up request is best?

D. Please provide the known timeline and repair estimate through the approved channel, quoting C204.

The complete request addresses the missing evidence while preserving the unknown event date and correct file reference.

3. Which statement improperly equates reserve and payment?

B. The internal reserve is the amount we promise to pay you.

A reserve is an internal estimate, not a settlement agreement or payment authorization.

4. What should Mina do before asking for photographs again?

C. Check the file, which already contains photographs.

The brief confirms photographs are received, so checking the file avoids an unnecessary duplicate request.

03 Conversation answers

Claims Intake and Reserving

03

E Dialogue gaps

Pages 28-29

1. first notice of loss. Turn 2. First notice of loss records the initial claim report; receiving it does not establish all event facts or coverage.

2. discovery date. Turn 4. The discovery date is when damage was noticed; it is not necessarily when the event causing it occurred.

3. repair estimate. Turn 6. The repair estimate is the specific missing cost document; photographs have already been received and should not be requested indiscriminately again.

4. claim chronology. Turn 8. The claim chronology records the actual sequence and outstanding information without inventing an amount or event date.

5. adjuster. Turn 10. The adjuster evaluates the claim within the assigned role; receiving an estimate does not itself complete the coverage or amount review.

6. case reserve. Turn 12. A case reserve is an individual-claim estimate under the internal process, not a payment promise or coverage determination.

7. Payment authorization. Turn 14. Payment authorization approves a specified payment; an internal estimate or intake conversation does not supply that approval.

8. secure submission channel. Turn 16. The secure submission channel is the authorized route for sensitive material; the example does not ask for disclosure through an unverified address.

9. information request. Turn 18. The information request should specify the missing timeline and estimate, preserving known facts and the unresolved event date.

10. acknowledgment. Turn 20. An acknowledgment confirms receipt, not acceptance of coverage, agreement on the loss amount, or authorization of payment.

F Transfer conversation

Page 30

1. C318

Specialist: "The claim reference is C318."

C318 is the identifier assigned to the separate claim in this exercise.

2. 12 July

Caller: "The discovery date is 12 July."

Twelve July is the known discovery date, not a confirmed event date.

3. repair estimate

Specialist: "The missing cost document is the repair estimate."

The brief states that photographs are received but the repair estimate is missing.

4. unknown

Caller: "The event date remains unknown."

The case explicitly leaves the event date unknown, so it must not be guessed.

04 Briefing and language checks

Coverage Disputes and Denials

04

A Briefing checks / page 31

1. What is the claim's current status?

C. Coverage review remains open.

The brief states that review is open and no determination, denial, or payment commitment has been made.

2. Which information is outstanding?

B. The cause report

The cause report is specifically identified as outstanding in the current review.

3. What is promised for Friday at 16:00?

A. A status update even if review remains incomplete

Sana commits to reporting status, not to a particular decision or completed review.

D Language checks / page 36

1. Which response best matches the facts?

B. The review is open; the cause report is outstanding; no coverage decision has been made.

The accurate response identifies the actual stage and missing evidence without inventing acceptance, rejection, or payment.

2. What should Sana do if review is incomplete on Friday?

D. Provide the promised status update and explain what remains open.

The communication commitment remains in force even when the substantive review is unfinished.

3. Which statement about deadlines is unsupported?

D. The open review automatically pauses every applicable deadline.

No supplied policy or legal basis establishes that pending review suspends any deadline.

4. How should an eventual decision be described?

C. Through the applicable process with its actual basis and relevant next steps

A decision needs its actual factual and policy basis, not a shorthand reference, comparison, or unfinished estimate.

04 Conversation answers

Coverage Disputes and Denials

E Dialogue gaps

Pages 37-38

1. coverage review. Turn 2. Coverage review is the ongoing evaluation; its open status does not establish acceptance or denial.

2. cause report. Turn 4. The cause report is the specified outstanding evidence about how the damage occurred; naming it makes the dependency clear.

3. factual basis. Turn 6. The factual basis supports evaluation; supplying one document does not predetermine the resulting coverage decision.

4. denial. Turn 8. Denial is a decision refusing all or part of a claim; none has been made in the supplied case.

5. status update. Turn 10. A status update reports progress and outstanding matters; it is not automatically a decision or payment promise.

6. coverage determination. Turn 12. A coverage determination decides application of the policy; the Friday communication commitment does not guarantee that decision.

7. policy provision. Turn 14. A policy provision supplies the actual wording basis; an unexplained reference to a clause is not a clear coverage explanation.

8. time limit. Turn 16. A time limit remains governed by its actual requirements; this pending review does not establish an automatic suspension or extension.

9. review route. Turn 18. The review route depends on the actual policy and jurisdiction; the dialogue does not invent a universal appeal process or deadline.

10. payment authorization. Turn 20. Payment authorization permits a specified payment; no such commitment follows from the pending review or promised update.

F Transfer conversation

Page 39

1. M22

Representative: "The claim reference is M22."

M22 is the identifier supplied for this separate pending-review case.

2. inspection report

Policyholder: "The missing document is the inspection report."

The inspection report is the specified outstanding evidence in the brief.

3. Rehan

Representative: "Your update contact is Rehan."

Rehan is explicitly responsible for providing the status update.

4. Tuesday at 14:00

Policyholder: "The update is scheduled for Tuesday at 14:00."

Tuesday at fourteen hundred is an update appointment, not a guaranteed decision time.

04

05 Briefing and language checks

Broker and Client Renewal Meetings

A Briefing checks / page 40

1. How much lower is B's annual premium?

A. \$1,000

Ten thousand minus nine thousand gives a one-thousand-dollar annual premium difference.

2. How much higher is B's per-loss deductible?

C. \$4,000

Five thousand minus one thousand gives a four-thousand-dollar increase in the stated deductible.

3. What is not yet established?

C. That the full coverage wording is otherwise identical

The full wording has not been compared, so equivalent coverage cannot be asserted.

D Language checks / page 45

1. In the illustration, what would A's insurer payment be?

B. \$7,000

The assumed fully covered loss of eight thousand minus A's one-thousand deductible gives seven thousand.

2. In the illustration, what would B's insurer payment be?

A. \$3,000

Eight thousand minus B's five-thousand deductible gives three thousand under the stated assumptions.

3. Which premium-plus-retained-loss comparison is correct for this example?

D. A: \$11,000; B: \$14,000

A combines ten thousand premium and one thousand retained loss; B combines nine thousand and five thousand.

4. Which conclusion is unsupported?

D. B provides identical coverage and always costs less overall.

The complete wording is unreviewed, and total cost depends on actual losses and terms, not premium alone.

05 Conversation answers

Broker and Client Renewal Meetings

E Dialogue gaps

Pages 46-47

- 1. annual premium.** Turn 2. Annual premium describes the stated yearly insurance price; a lower figure does not establish identical protection.
- 2. illustrative loss.** Turn 4. An illustrative loss is hypothetical and demonstrates arithmetic under explicit assumptions rather than deciding actual coverage.
- 3. retained loss.** Turn 6. Retained loss is the loss amount borne by the client; A retains one thousand under the supplied assumptions.
- 4. premium saving.** Turn 8. Premium saving compares the insurance price, while the higher retained loss is a separate effect of the changed deductible.
- 5. total-cost comparison.** Turn 10. The total-cost comparison includes premium and retained loss for this single hypothetical case, not every possible annual outcome.
- 6. valuation basis.** Turn 12. Valuation basis affects how loss value is determined under the policy; matching headline limits do not establish identical payment terms.
- 7. Coinsurance.** Turn 14. Coinsurance has policy-specific cost-sharing or insurance-to-value meanings; this illustration expressly excludes it rather than interpreting an actual provision.
- 8. like-for-like basis.** Turn 16. A like-for-like basis aligns relevant terms and assumptions before comparison; the full quote wording has not yet been aligned here.
- 9. binding confirmation.** Turn 18. Binding confirmation records actual placed coverage; receiving or discussing a quote does not establish that it has been bound.
- 10. effective period.** Turn 20. The effective period identifies when the actual terms apply; it must be checked with the proposal before placement instructions are acted on.

F Transfer conversation

Page 48

1. 500

Broker: "Under C, the client retains 500 dollars."

C's five-hundred-dollar deductible is the retained amount under the supplied assumptions.

2. 5,500

Client: "Under C, the insurer pays 5,500 dollars."

Six thousand minus five hundred gives five thousand five hundred dollars.

3. 2,000

Broker: "Under D, the client retains 2,000 dollars."

D's stated two-thousand-dollar deductible is the client's retained amount in this illustration.

4. 4,000

Client: "Under D, the insurer pays 4,000 dollars."

Six thousand minus two thousand gives four thousand dollars under the same assumptions.

05

06 Briefing and language checks

Fraud Indicators and SIU Referral

A Briefing checks / page 49

1. What has actually been observed?

C. Invoice reference P71 appears in Q2 and Q4 for the same vendor.

The supplied evidence establishes a repeated invoice reference, not dishonest intent or an established fraud finding.

2. What remains unknown?

C. The explanation for the repeated reference

The case leaves open whether duplication, error, or another explanation accounts for the repeated reference.

3. What should happen to the original records?

C. Preserve them and restrict access to authorized recipients.

Preserving originals and limiting access protects traceability and confidentiality during the authorized review.

D Language checks / page 54

1. Which note is appropriate?

A. P71 appears in Q2 and Q4; explanation unconfirmed; referred through the approved SIU route.

The appropriate note records the observation, unresolved explanation, and actual referral action without an unsupported accusation.

2. Which statement confuses referral with a finding?

A. SIU referral proves that fraud occurred.

Referral requests specialist examination and does not itself establish wrongdoing.

3. What should the team do with the accusatory draft note?

B. Correct it through the traceable process and preserve relevant history.

A traceable correction fixes the wording without hiding the record or treating an allegation as proof.

4. Which explanation is established?

B. None of the proposed explanations is yet established.

The brief explicitly leaves the reason unknown, including the possibility of an administrative or upload error.

06 Conversation answers

Fraud Indicators and SIU Referral

E Dialogue gaps

Pages 55-56

- 1. discrepancy.** Turn 2. Discrepancy describes the repeated reference without asserting a cause, dishonest intent, or established fraud.
- 2. alternative explanation.** Turn 4. An alternative explanation remains a possibility until evaluated; naming one does not establish it as the actual cause.
- 3. Special Investigation Unit.** Turn 6. The Special Investigation Unit is the relevant specialist function; referral requests review rather than declaring the customer guilty.
- 4. source document.** Turn 8. A source document supports the record comparison and must remain available rather than being replaced by a paraphrase or accusation.
- 5. case note.** Turn 10. The case note needs a traceable correction so the unsupported accusation is fixed without concealing the record's history.
- 6. need-to-know access.** Turn 12. Need-to-know access limits sensitive information to authorized roles rather than broad circulation for interest or warning.
- 7. allegation.** Turn 14. An allegation asserts wrongdoing; this case supports a documented concern, not a conclusion to repeat as established fact.
- 8. suspicion.** Turn 16. Suspicion is an unestablished concern; the documented observation may justify review without becoming proof of fraud.
- 9. investigation status.** Turn 18. Investigation status reports the stage of review, not an outcome that has not yet been established.
- 10. review conclusion.** Turn 20. The review conclusion must follow the authorized evidential assessment; it cannot be supplied by the initial analyst's label.

F Transfer conversation

Page 57

1. R88

Analyst: "The repeated receipt reference is R88."

R88 is the specific repeated receipt identifier supplied in this case.

2. H7

Reviewer: "It appears in H3 and H7."

H7 is the second file named in the observed record comparison.

3. unconfirmed

Analyst: "The explanation remains unconfirmed."

The brief does not establish why the receipt appears in both files.

4. review

Reviewer: "The matter is referred for specialist review."

Referral requests review and does not constitute a finding of fraud.

07 Briefing and language checks

Actuarial Assumptions and Pricing

A Briefing checks / page 58

1. What is held constant between the cohorts?

D. Exposure at 1,000 policy-years and the stated reporting basis

The brief explicitly holds exposure and the counting and cost basis consistent while claims and severity change.

2. What is Year 2's total claim cost?

A. \$264,000

One hundred twenty claims multiplied by an average of twenty-two hundred dollars gives two hundred sixty-four thousand.

3. Why is the combined increase not 30%?

A. The frequency and severity factors multiply rather than simply add.

The combined factor is 1.20 times 1.10, giving 1.32 and therefore a thirty-two-percent increase.

D Language checks / page 63

1. What is Year 1's frequency?

A. 0.10 claims per policy-year

One hundred claims divided by one thousand policy-years gives 0.10 claims per policy-year.

2. What is the relative total-cost increase?

A. 32%

The sixty-four-thousand increase divided by the two-hundred-thousand starting total equals thirty-two percent.

3. What is Year 2's pure premium on this basis?

C. \$264 per policy-year

Dividing the two-hundred-sixty-four-thousand total by one thousand policy-years gives two hundred sixty-four per policy-year.

4. Which price conclusion is supported?

B. This historical comparison alone does not determine a premium change.

The analysis excludes other pricing components and prospective assumptions, so it cannot prescribe a complete price change.

07 Conversation answers

Actuarial Assumptions and Pricing

E Dialogue gaps

Pages 64-65

1. Claim frequency. Turn 2. Claim frequency divides claim count by exposure; with exposure unchanged, the rise from 100 to 120 claims is twenty percent.

2. policy-years. Turn 4. Policy-years provide the common exposure unit; both cohorts use one thousand on the supplied consistent basis.

3. Claim severity. Turn 6. Claim severity is average claim cost; increasing from two thousand to twenty-two hundred dollars is ten percent.

4. multiplicative effect. Turn 8. The multiplicative effect combines 1.20 and 1.10 as 1.32, including the interaction missed by adding twenty and ten.

5. pure premium. Turn 10. Pure premium expresses the stated claim cost per exposure unit, not the full charged insurance premium.

6. rate indication. Turn 12. A rate indication requires relevant prospective cost analysis; the historical claim-cost change excludes necessary pricing components and assumptions.

7. Fully developed claims. Turn 14. Fully developed claims are treated as complete on the supplied analysis basis, keeping development differences out of this particular comparison.

8. experience period. Turn 16. The experience period identifies when observed data arose; it is separate from the future period a pricing estimate addresses.

9. expense provision. Turn 18. An expense provision accounts for defined expenses; excluding it from the exercise does not establish that actual expenses are zero.

10. pricing recommendation. Turn 20. A pricing recommendation requires the broader relevant analysis; the corrected historical arithmetic is an input rather than a final instruction.

F Transfer conversation

Page 66

1. 1.10

Analyst: "The frequency factor is 1.10."

A ten-percent relative increase corresponds to multiplying the starting frequency by 1.10.

2. 1.20

Manager: "The severity factor is 1.20."

A twenty-percent relative increase corresponds to multiplying starting severity by 1.20.

3. 1.32

Analyst: "The combined factor is 1.32."

Multiplying 1.10 by 1.20 gives 1.32, not an additive factor of 1.30.

4. 132,000

Manager: "The resulting claim-cost total is 132,000 dollars."

One hundred thousand multiplied by 1.32 equals one hundred thirty-two thousand dollars.

08 Briefing and language checks

Compliance, Market Conduct, and Complaints

A Briefing checks / page 67

1. What specific charge is disputed?

B. \$30 labeled SF30 on the 5 August invoice

Elena identifies the amount, code, and invoice date, giving a specific billing question.

2. What did the earlier reply fail to address?

B. The fee basis and where it was disclosed

A generic thank-you confirmed feedback but did not answer the two questions about the charge.

3. What is Marco's commitment?

C. Obtain relevant records and update Elena Friday at 14:00

Marco promises evidence gathering and a status update, while the fee decision and remedy remain unresolved.

D Language checks / page 72

1. Which opening addresses Elena's complaint?

C. You are asking why SF30 adds \$30 and where it was disclosed; our earlier reply did not answer that.

The opening names both substantive questions and acknowledges the earlier response failure without inventing a decision.

2. What does SF30 establish by itself?

B. The billing item identifier

A billing code identifies an item but does not establish its authority, disclosure, or proper outcome.

3. What should Marco do if the records remain incomplete on Friday?

A. Provide the promised update and specify what remains unresolved.

The response commitment remains valid even if the substantive evidence review is not complete.

4. Which closing statement is premature?

A. The complaint is resolved because we sent a generic thank-you.

An acknowledgment does not resolve the fee and disclosure questions that remain open.

08 Conversation answers

Compliance, Market Conduct, and Complaints

E Dialogue gaps

Pages 73-74

1. fee basis. Turn 2. Fee basis concerns the reason and applicable terms supporting the charge; the earlier acknowledgment did not establish it.

2. billing code. Turn 4. A billing code identifies an invoice item; it does not by itself explain the charge's legitimacy, disclosure, or relationship to premium.

3. disclosure record. Turn 6. The disclosure record supplies evidence of what information was provided; a guess that it was somewhere in paperwork is insufficient.

4. refund. Turn 8. A refund returns money following the applicable decision; an unresolved fee question does not establish that outcome.

5. complaint owner. Turn 10. The complaint owner coordinates the handling and communication; that role does not imply a completed decision about the disputed fee.

6. response commitment. Turn 12. A response commitment promises communication at a stated point; it is not automatically a legal deadline or refund date.

7. remedy. Turn 14. A remedy addresses an established problem under the applicable process; the Friday status appointment does not guarantee its decision or completion.

8. complaint register. Turn 16. The complaint register should reflect the unresolved fee and disclosure questions rather than mark a generic acknowledgment as resolution.

9. substantive response. Turn 18. A substantive response addresses the actual questions with a supported explanation, instead of merely confirming receipt or expressing appreciation.

10. complaint rights. Turn 20. Complaint rights depend on the applicable process and jurisdiction; the pending review must not be presented as removing them.

F Transfer conversation

Page 75

1. 45

Handler: "The disputed amount is 45 dollars."

Forty-five dollars is the specific charge supplied in this separate complaint.

2. AD45

Policyholder: "The invoice code is AD45."

AD45 identifies the disputed invoice item without establishing whether it is correct.

3. Lina

Handler: "The review contact is Lina."

Lina is explicitly assigned to provide the complaint update.

4. Monday at 15:00

Policyholder: "The promised update is Monday at 15:00."

Monday at fifteen hundred is a communication commitment, not a guaranteed refund time.

08

09 Conversation answers

The rate stayed; the payroll changed

E Extended conversation

Pages 76-77

1. rate per hundred. Turn 2. The rate is \$2.40 for each \$100 of eligible payroll and is unchanged; a larger exposure base can increase premium without a rate increase.

2. exposure base. Turn 4. The exposure base is eligible payroll in this fictional policy; \$300,000 replaces the \$250,000 estimate without changing the rate or classification.

3. deposit premium. Turn 6. The deposit premium was calculated from estimated payroll and already paid; it must be credited against the audited total rather than charged again.

4. additional premium. Turn 8. Additional premium is the \$1,200 difference between the \$7,200 audited total and \$6,000 already paid, not the full audited premium.

5. audit worksheet. Turn 14. The audit worksheet records the payroll basis and classification used; payroll-account totals must be reconciled to the eligible exposure under the actual policy rules.

6. reconciliation request. Turn 18. A reconciliation request identifies the disputed audit entry and supporting records; it seeks a supported correction rather than assuming the full audit is invalid.

F Transfer exchange

Page 78

1. 5,400

Specialist: The audited premium totals 5,400 dollars.

One hundred eighty thousand divided by one hundred and multiplied by three gives 5,400 dollars.

2. 4,500

Owner: Credit the 4,500 dollars already paid.

The fully paid deposit is 4,500 dollars and must be credited against the audited total.

3. 900

Specialist: The additional balance is 900 dollars.

The audited total of 5,400 minus the 4,500 deposit leaves nine hundred dollars.

4. payroll

Owner: The changed input is eligible payroll, not the rate.

The rate is held constant, while eligible payroll increases from 150,000 to 180,000 dollars.

09

Background reading: [Travelers: premium-audit purpose and exposure reconciliation](#). The conversation is an original fictional teaching case.

10 Conversation answers

Two payments, one deductible

E Extended conversation

Pages 79-80

1. replacement cost. Turn 2. Replacement cost is the agreed \$20,000 repair basis in this exercise, before the stated depreciation holdback and deductible affect the initial payment.

2. actual cash value. Turn 4. Actual cash value is defined here as replacement cost less the \$5,000 depreciation, giving \$15,000 before the separate deductible.

3. recoverable depreciation. Turn 6. The full \$5,000 depreciation is recoverable in this example after the stipulated repair conditions are verified; this is not a rule for every policy.

4. supplemental payment. Turn 8. The supplemental payment is the \$5,000 held back in this stipulated case; adding it to \$14,000 gives \$19,000 total insurer payments.

5. payment ledger. Turn 12. The payment ledger records amounts already issued and deductions already applied, preventing a second deduction or a duplicate payment for the same loss.

6. repair documentation. Turn 16. Repair documentation supports checking the policy's stipulated conditions; an estimate alone is not evidence that the required eligible repairs were completed.

F Transfer exchange

Page 81

1. 8,000

Representative: The initial net payment is 8,000 dollars.

Twelve thousand minus three thousand depreciation minus one thousand deductible equals eight thousand dollars.

2. 3,000

Policyholder: The later depreciation payment is 3,000 dollars.

The full stipulated three-thousand-dollar holdback is recoverable after the supplied conditions are met.

3. 11,000

Representative: Total insurer payments equal 11,000 dollars.

Eight thousand initially plus three thousand later equals eleven thousand, leaving the one-thousand deductible with the policyholder.

4. once

Policyholder: The deductible is applied once in this example.

The fictional terms specify one deductible for the loss, so it is not deducted again from the later payment.

10

Background reading: [Texas Department of Insurance: replacement cost and cash value](#). The conversation is an original fictional teaching case.

11 Conversation answers

The annual limit has a remaining balance

E Extended conversation

Pages 82-83

1. per-occurrence limit. Turn 2. The per-occurrence limit is \$1 million for this event, but satisfying it does not override the separate remaining annual aggregate.

2. remaining aggregate. Turn 4. The remaining aggregate is \$2 million minus \$1.6 million already applied, leaving \$400,000 available under that cap.

3. aggregate limit. Turn 6. The aggregate limit caps the stated year's combined payments; its remaining \$400,000 is lower than both the \$700,000 damages and \$1 million occurrence limit.

4. unfunded remainder. Turn 8. The unfunded remainder is \$700,000 damages less \$400,000 from this policy; it results from the aggregate cap, not a deductible supplied in the case.

5. exhausted. Turn 12. Exhausted means no aggregate amount remains after the additional \$400,000 payment; the printed occurrence limit does not restore that used annual capacity.

6. aggregate erosion. Turn 16. Aggregate erosion is the reduction caused by the specified payments under this policy; an internal reserve must not be substituted for those stipulated paid amounts.

F Transfer exchange

Page 84

1. 200,000

Specialist: Before the new payment, the remaining aggregate is 200,000 dollars.

One and a half million minus one point three million leaves two hundred thousand dollars.

2. exhausted

Manager: After paying that available amount, this aggregate is exhausted.

The two-hundred-thousand payment uses the entire remaining aggregate under the supplied assumptions.

3. 150,000

Specialist: The amount unpaid by this policy is 150,000 dollars.

Three hundred fifty thousand damages minus two hundred thousand available leaves one hundred fifty thousand.

4. deductible

Manager: That shortfall is not a deductible under these terms.

The case supplies no deductible; the shortfall results from the exhausted aggregate limit.

11

Background reading: [IRMI: general aggregate limit](#). The conversation is an original fictional teaching case.

Find the move you need

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

01 Underwriting and Risk Selection

Specify the missing information: We still need the operating locations and three-year loss history.

Name the information period: Please supply the requested three-year records.

Avoid a coverage promise: No quote, binder, or coverage confirmation has been issued.

Full phrase set: pages 7-8 | Dialogue: pages 10-11

02 Policy Language and Coverage Interpretation

Recognize the inference: I can see why the short summary gave that impression.

Limit the conclusion: Those amounts do not establish coverage for every event.

Explain an endorsement: It can modify coverage, including restricting it.

Full phrase set: pages 16-17 | Dialogue: pages 19-20

03 Claims Intake and Reserving

Acknowledge receipt: We have opened claim C204 and received your photographs.

Avoid a guessed entry: Please do not guess a date to fill the form.

Protect the channel: Please use the approved submission route for the documents.

Full phrase set: pages 25-26 | Dialogue: pages 28-29

04 Coverage Disputes and Denials

Acknowledge the practical need: I understand that you need clarity for your next decisions.

Avoid the opposite promise: It is not confirmation of coverage either.

Avoid payment language: I cannot promise payment from the current status.

Full phrase set: pages 34-35 | Dialogue: pages 37-38

Keep the conversation productive

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

05 Broker and Client Renewal Meetings

Acknowledge the saving: B's annual premium is \$1,000 lower.

Keep the review open: We have not yet compared the complete wording.

State the insurer amount: The illustrated insurer payments are \$7,000 and \$3,000.

Full phrase set: pages 43-44 | Dialogue: pages 46-47

06 Fraud Indicators and SIU Referral

State the observation: Invoice P71 appears in both Q2 and Q4 for the same vendor.

Keep alternatives open: A duplicate upload or administrative error remains possible.

Use traceable correction: Correct the case note without concealing its history.

Full phrase set: pages 52-53 | Dialogue: pages 55-56

07 Actuarial Assumptions and Pricing

Define the population: Both cohorts contain 1,000 policy-years of exposure.

Quantify the relative change: That is a 20% frequency increase.

Correct the headline: Total claim cost rose 32%, not 30%.

Full phrase set: pages 61-62 | Dialogue: pages 64-65

08 Compliance, Market Conduct, and Complaints

Restate the issue: You are asking why SF30 adds \$30 and where it was disclosed.

Separate receipt and resolution: Thanking you for feedback did not resolve the issue.

Check the quote: We will compare the invoice with the \$1,200 annual quote.

Full phrase set: pages 70-71 | Dialogue: pages 73-74

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

access restriction apply access restrictions	51
acknowledgment send a claim acknowledgment	24
actual cash value explain actual cash value	42
actuary consult the actuary	59
additional insured confirm additional insured status	15
adjuster assign an adjuster	23
administrative error examine a possible administrative error	50
aggregate limit review the aggregate limit	14
allegation avoid an unsupported allegation	50
alternative explanation retain an alternative explanation	51
annual premium compare the annual premium	41
appeal identify the applicable appeal process	33
applicable endorsement evaluate the applicable endorsement	32
applicant identify the applicant	5
authorized recipient identify authorized recipients	51
billing code trace the billing code	68
billing reconciliation complete billing reconciliation	68
binder confirm the binder terms	6
binding confirmation obtain binding confirmation	42
binding instruction confirm binding instructions	42
business activity describe the business activity	5
case note correct a case note	51
case reserve review the case reserve	24
causation assess causation	32

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

cause report obtain the cause report	32
chronological record maintain a chronological record	51
claim chronology build a claim chronology	24
claim frequency calculate claim frequency	59
claim intake complete claim intake	23
claim number quote the claim number	23
claim severity estimate claim severity	59
claimant identify the claimant	23
cohort compare claim cohorts	59
coinsurance review the coinsurance provision	41
combined ratio interpret the combined ratio	60
complaint record a complaint	33
complaint intake complete complaint intake	68
complaint owner assign a complaint owner	69
complaint register update the complaint register	68
complaint rights explain complaint rights	69
condition review a policy condition	14
corroboration seek appropriate corroboration	51
coverage comparison prepare a coverage comparison	41
coverage determination issue a coverage determination	32
coverage gap identify a coverage gap	42
coverage limit identify the coverage limit	14
coverage position explain the coverage position	32
coverage review complete a coverage review	32

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

coverage summary	qualify the coverage summary	15
covered cause of loss	assess a covered cause of loss	15
covered property	identify covered property	15
credibility	assess statistical credibility	59
credit adjustment	process a credit adjustment	69
customer outcome	assess the customer outcome	69
date of loss	establish the date of loss	23
decision notice	distinguish the decision notice	33
declarations	check the declarations	14
declination	communicate a declination	6
deductible	explain the deductible	15
definition	apply the policy definition	14
denial	communicate a denial	32
depreciation	account for depreciation	42
development factor	assess a development factor	59
disclosure record	retrieve the disclosure record	68
discovery date	record the discovery date	23
discrepancy	describe a discrepancy	50
document set	assemble the document set	15
duplicate record	identify a duplicate record	50
effective date	verify the endorsement's effective date	15
effective period	verify the effective period	42
endorsement	read the applicable endorsement	14
escalation	arrange complaint escalation	69

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

evidence preservation maintain evidence preservation	51
exclusion examine an exclusion	14
expense provision include an expense provision	60
experience period define the experience period	60
exposure identify the exposure	5
exposure base define the exposure base	59
factual basis explain the factual basis	32
fair treatment support fair treatment	69
fee basis establish the fee basis	68
final response distinguish a final response	69
first notice of loss (FNOL) record first notice of loss	23
form number match the form number	15
fraud indicator document a fraud indicator	50
fully developed claims compare fully developed claims	59
generic acknowledgment distinguish a generic acknowledgment	68
illustrative loss label the illustrative loss	42
inception date verify the inception date	6
incurred but not reported (IBNR) explain the IBNR estimate	24
incurred loss define the incurred loss basis	24
information request issue a clear information request	24
insuring agreement read the insuring agreement	14
interpretation support the interpretation	15
investigation status report investigation status	51
invoice line examine the invoice line	68

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

invoice reference compare the invoice reference	50
like-for-like basis compare on a like-for-like basis	41
loss adjustment expense (LAE) distinguish loss adjustment expense	24
loss cost estimate loss cost	59
loss history obtain the loss history	5
loss ratio define the loss ratio	60
loss run request a loss run	5
market conduct review market conduct	68
material information request material information	6
model assumption disclose a model assumption	60
multiplicative effect explain the multiplicative effect	60
named insured verify the named insured	15
need-to-know access maintain need-to-know access	51
neutral wording use neutral wording	51
notice requirement check the notice requirement	33
notification date confirm the notification date	23
occupancy describe the occupancy	6
off-site work disclose off-site work	5
operating location list operating locations	5
out-of-pocket amount estimate the out-of-pocket amount	41
paid loss report paid loss	24
partial coverage explain partial coverage	32
payment authorization verify payment authorization	24
per-loss deductible explain the per-loss deductible	41

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

per-occurrence limit	check the per-occurrence limit	14
percentage-point change	distinguish a percentage-point change	60
policy period	confirm the policy period	15
policy provision	cite the policy provision	32
policy wording	review the policy wording	14
policy-year	measure exposure in policy-years	59
policyholder	contact the policyholder	23
premises	describe the premises	5
premium saving	quantify the premium saving	41
pricing recommendation	support a pricing recommendation	60
proof of loss	request the applicable proof of loss	23
prospective period	specify the prospective period	60
pure premium	calculate pure premium	59
quote	issue a quote	6
quote comparison	conduct a quote comparison	68
quote validity	check quote validity	42
rate indication	develop a rate indication	60
record retention	follow record-retention requirements	69
referral	make an underwriting referral	6
referral criteria	apply referral criteria	50
referral summary	prepare a referral summary	50
refund	confirm a refund decision	68
regulatory inquiry	respond to a regulatory inquiry	69
reinsurance cost	account for reinsurance cost	60

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

remedy identify the appropriate remedy	69
renewal review the renewal	41
renewal condition confirm a renewal condition	42
renewal quote compare renewal quotes	41
repair estimate obtain a repair estimate	23
replacement cost review replacement-cost terms	41
reservation of rights review a reservation of rights	32
resolution status report resolution status	69
response commitment meet the response commitment	69
retained loss compare retained loss	41
retention distinguish a retention	15
review conclusion distinguish the review conclusion	51
review owner identify the review owner	33
review route explain the review route	33
rights and remedies explain relevant rights and remedies	33
risk appetite assess fit with risk appetite	5
risk engineering request risk engineering input	6
risk selection support risk selection	6
risk tolerance discuss risk tolerance	42
schedule check the policy schedule	14
secure submission channel use the secure submission channel	24
sensitivity test conduct a sensitivity test	60
settlement document a settlement	24
settlement authority confirm settlement authority	33

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

source attribution include source attribution	51
source document preserve the source document	50
Special Investigation Unit (SIU) refer to the SIU	50
status update provide a status update	33
subjectivity identify an underwriting subjectivity	6
submit identify a submit	14
submit comparison complete a submit comparison	42
submission prepare an underwriting submission	5
submission completeness check submission completeness	6
substantive response provide a substantive response	68
supporting documentation request supporting documentation	23
suspicion distinguish suspicion from proof	50
time limit verify the applicable time limit	33
total-cost comparison state the total-cost comparison basis	42
trend analyze claim-cost trend	59
underwriting complete underwriting review	5
underwriting authority confirm underwriting authority	6
unpaid claim estimate assess an unpaid claim estimate	24
unresolved issue identify the unresolved issue	32
valuation basis compare the valuation basis	41
valuation date state the valuation date	5
verified finding record a verified finding	50
without prejudice seek advice on without-prejudice wording	33
written explanation provide a written explanation	33

Original cases. Clear boundaries.

These are original fictional teaching conversations, not transcripts of real workers. Names, figures, organizations, and incidents are invented. Sources support terminology and communication aims, not the fictional results or an endorsement of this book.

[1] National Association of Insurance Commissioners. Understanding Your Homeowners or Renter's Policy.

[Open the original source](#)

Background for policy sections, endorsements, deductibles, and premiums. All teaching policies are invented; no actual coverage is interpreted. Checked 1 October 2026.

[2] National Association of Insurance Commissioners. Insurance Fraud.

[Open the original source](#)

Background for suspicion, referral, and findings. The original case teaches objective language, not investigation methods or a legal test. Checked 1 October 2026.

[3] Actuarial Standards Board. ASOP No. 53: Estimating Future Costs for Prospective Property/Casualty Risk Transfer and Risk Retention.

[Open the original source](#)

Background for estimates, assumptions, and pricing components. The fictional calculations are not actuarial indications for a real portfolio. Checked 1 October 2026.

[4] National Association of Insurance Commissioners. How to File a Complaint.

[Open the original source](#)

Background for complaint records and state-specific routes. The fictional conversation creates no universal deadline, remedy, or restriction on rights. Checked 1 October 2026.

Phil Stilwell

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